

ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

www.icmai.in

Income under the Head Salaries

Behind every successful business decision, there is always a **CMA**



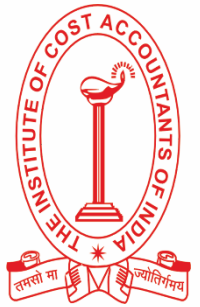
Basic Element

- ❑ Payer and payee must have employer and employee (or Master & Servant) relationship; and
- ❑ Payment must have been made by the employer in such capacity.

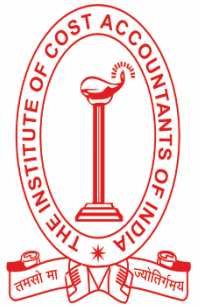


Once salary has been earned by an employee, its subsequent waiver does not make it exempt from tax liability. Such waiver shall be treated as application of the income.

Behind every successful business decision, there is always a **CMA**



Tax Point

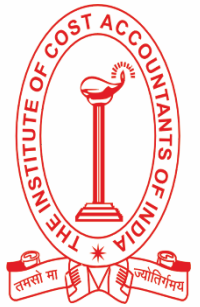


Case	Taxable as Salary	Taxable as
Contract of service: The employer can direct and control the duties and the manner of performance of the employee hence employer-employee relationship exists in such contract.	✓	-
Contract for Service: The contractee can simply decide and quote the object or target to be achieved but cannot decide or direct the manner of performance.	✗	PGBP
Commission to agent by Principal	✗	PGBP / IFOS
Salary received by a partner from its firm	✗	PGBP
Salary received by proprietor from his proprietorship firm	✗	Not an Income
Pension received by the widow or legal heir of deceased employee	✗	IFOS
A teacher at college receives fees from University for checking answer sheets	✗	IFOS

Behind every successful business decision, there is always a **CMA**



Tax Point

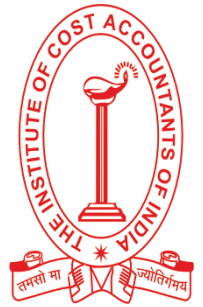


Case	Taxable as Salary	Taxable as
Remuneration received by Judges	✓	-
Remuneration to non-executive director	✗	IFOS
Remuneration to executive director	✓	
Directors' sitting fee	✗	IFOS
A payment made to the Member of the Parliament or the State legislature	✗	IFOS
Member of ICMAI examining answer script of CMA Final Exam	✗	IFOS
Pension from a former employer	✓	-

Behind every successful business decision, there is always a **CMA**



Basis of Charge [Sec. 15]



Salary is chargeable to tax either on '**due**' basis or on '**receipt**' basis, whichever is **earlier**

- ☐ Advance salary – On Receipt Basis
- ☐ Outstanding salary – On Due Basis
- ☐ **Arrear salary**: Any increment in salary with retrospective effect which have not been taxed in the past, such arrears will be taxed in the year in which it is allowed. Arrear salary are taxable on receipt basis

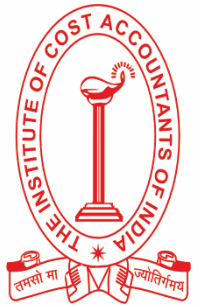
Taxpoint:

- ☐ If an employer recovers excess salary paid in preceding year, only the net adjusted salary is taxable as 'salary due' in the current year
- ☐ Method of accounting followed by the employee or employer is irrelevant
- ☐ Mere accrual of salary is not taxable. Either it should be due or it should be received.
- ☐ Advance against salary is loan

Behind every successful business decision, there is always a **CMA**



Example



Mr. X joined A Ltd. for a salary of ₹ 50,000 p.m. on 1/4/2024. In the year 2025-26, his increment decision was pending. On 3/4/2026, his increment was finalized as for 2025-26: ₹ 5,000 p.m. and for 2026-27 ₹ 7,500 p.m. Such arrear salary received on 15/4/2026. Find Gross taxable salary. Further, salary of April 2027 has also been received in advance on 15/03/2027.

Solution

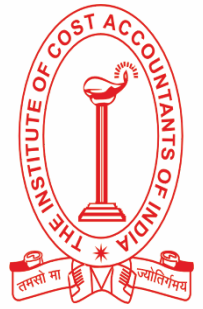
Gross salary for the tax year 2026-27 shall be calculated as under:

Particulars	Workings	Amount
Salary for 2026-27	$(50,000 + 5,000 + 7,500) \times 12$	7,50,000
Arrear salary for 2025-26	$(5,000) \times 12$	60,000
Advance salary for April 2027		62,500
Gross total salary		8,72,500

Behind every successful business decision, there is always a **CMA**



Place of accrual of salary



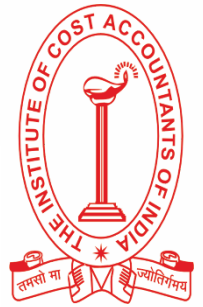
- ❑ Salary which is received in India or earned in India shall be taxable in hands of all assessee whether resident or non resident in India.
- ❑ Salary is deemed to be earned in India provided -
 - a) The service is rendered in India;
 - b) The rest period or leave period, which is preceded and succeeded by the service rendered in India and forms part of the service contract of employment. – [Sec. 9(3(a))]

Exceptions

- Salary paid to a Government employee, being a citizen of India, is deemed to accrue in India, irrespective of place of work [Sec. 9(3)(b)].



Place of accrual of salary

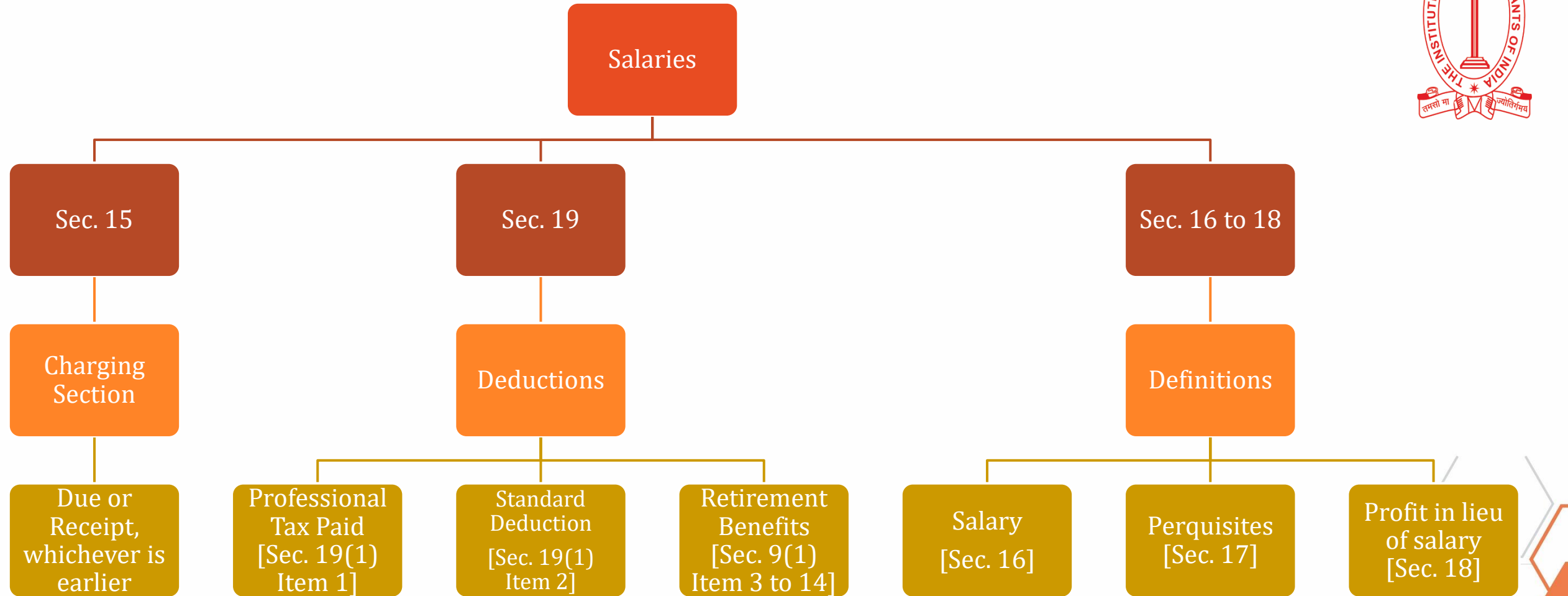
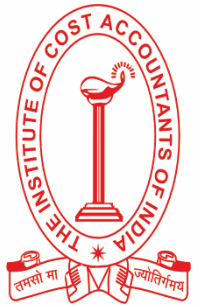


Employee	Employer	Place of service	Salary received	Taxable
Any	Any	India	Any where	✓
Any	Any	Any where	In India	✓
Ordinarily resident in India	Any	Any where	Any where	✓
Indian citizen	Government	Outside India	Any where	✓
Not ordinarily resident/Non resident	Any	Outside India	Outside India	✗

Behind every successful business decision, there is always a **CMA**



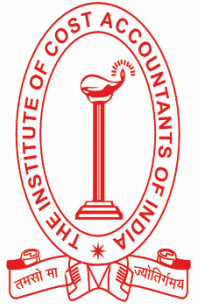
Section-wise Scheme



Behind every successful business decision, there is always a **CMA**



Different Component of Salary



Salary

Basic

Allowances

Retirement
Benefits

Perquisites

Provident
Fund

Other

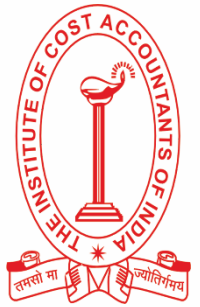
Behind every successful business decision, there is always a **CMA**



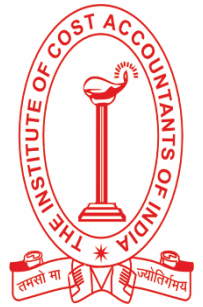
General Components – Fully taxable

- Basic Salary / wages including advance of Salary
- Dearness Allowance or Dearness Pay [forming a part of retirement benefit or not]
- Fees or Commission or Bonus
- Retirement benefits (However, deduction is available u/s 19 in some cases)
- Annuity or pension
- Perquisite
- Profit in lieu of salary
- Contribution made by the employer in any tax year, to the account of an employee under a pension scheme referred to in section 124 (old 80CCD)
- Contribution made by the CG in any tax year, to the Agniveer Corpus Fund account of an individual enrolled in the Agnipath Scheme referred to in sec. 125 (old 80CCH).

Behind every successful business decision, there is always a **CMA**



Profit in lieu of salary [Sec. 18 (Old 17(3))]



1. The amount of any compensation due to or received by an assessee from his employer or former employer at or in connection with the (a) termination of his employment, (b) modification of the terms and conditions of employment.
2. Any payment due to or received from any person before his joining any employment with that person or after cessation of his employment with that person
3. Any payment due to or received by the assessee
 - i. from an employer or former employer.
 - ii. from unrecognised provident fund or such other fund to the extent to which it does not consist of contributions by the assessee or interest on such contributions.
 - iii. Any sum received by the employee under the Keyman Insurance Policy including the sum allocated by way of bonus on such policy.

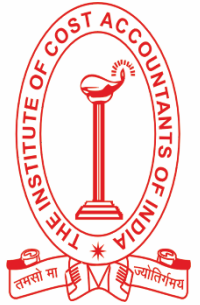
Exceptions: However, following are not included:

- Statutory provident fund [Sch II Table Sl 3]
- Accumulate balance in RPF [Sch II Table Sl 4]
- Superannuation Fund [Sch II Table Sl 8]
- Special Allowance from employer [Sch III Table Sl 11]

Behind every successful business decision, there is always a **CMA**



Annuity [Sec. 16(b)]

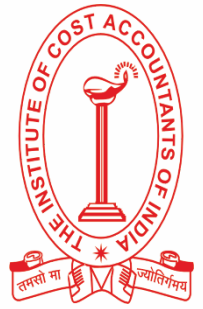


Case	Treatment
Annuity payable by a present employer, whether voluntarily or contractual.	Fully taxable as salary
Annuity received from an ex-employer	Fully taxable
Annuity received from a person other than employer e.g. from insurer, etc.	Taxable under the head 'Income from other sources'.

Behind every successful business decision, there is always a **CMA**



Allowances

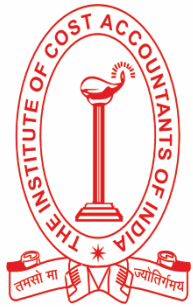


Allowance means *fixed* quantum of money given *regularly* in addition to salary to meet particular requirement. The name of particular allowance may reveal the nature of requirement, e.g. House Rent Allowance, Tiffin Allowance, Medical Allowance etc.

Behind every successful business decision, there is always a **CMA**



Allowances, at a glance



Allowance covered in Sch III Item 12, deductions from which depends upon actual expenditure [Rule 280 (Old 2BB(1))]

- Travel or Transfer allowance
- Daily Allowance
- Conveyance Allowance
- Assistant Allowance
- Professional Development Allowance
- Uniform Allowance, etc.

Allowance covered in Sch III Item 13, deductions from which do not depend upon actual expenditure [Rule 280 (Old 2BB(2))]

- Children Education Allowance
- Children Hostel Allowance
- Truck Drivers' Allowance
- Transport Allowance
- Tribal Areas Allowance
- Special Compensatory Allowance
- Border Area Allowance, etc.

Other

- House Rent Allowance
- City Compensatory Allowance
- Tiffin Allowance
- Medical Allowance
- Servant Allowance
- Entertainment Allowance, etc.

Allowances to a Government employee being an Indian citizen working outside India [Sch III Item 9]

Allowances received from UNO

Compensatory allowance under Article 222(2) of the Constitution

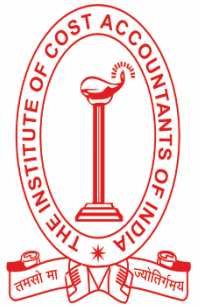
Allowance to judges of the High Court and the Supreme Court

Any other Allowance

Behind every successful business decision, there is always a **CMA**



Few Fully Taxable Allowances



Allowances	Meaning
City Compensatory Allowance	An allowance to meet personal expenses, which arise due to special circumstances, or to compensate extra expenditure by reason of posting at a particular place.
Tiffin Allowance	An allowance to meet the expenditure on tiffin, refreshment etc.
Medical Allowance	An allowance to meet the expenditure on medical treatment etc.
Servant Allowance	An allowance to meet the expenditure of servant for personal purpose.
Non-practicing Allowance	Allowance given to professionals to compensate them for restriction on private practice.
Deputation Allowance	Allowances given to an employee, when he is sent on deputation for a temporary period from his permanent place of service.
Entertainment Allowance	It is an allowance to meet expenditure on entertainment, by whatever name called. Government employee can claim deduction u/s 16(ii) discussed later in this chapter.

Behind every successful business decision, there is always a **CMA**



House Rent Allowance (HRA) [Sch III Table 11 r.w.r. 279 (Old Sec. 10(13A) r.w.r 2A)]

Minimum of the following is exempted from tax:

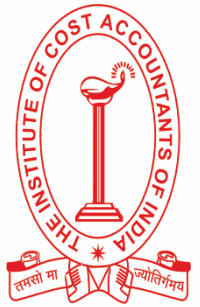
- a. Actual HRA received.
- b. An amount equal to 50% of salary¹ (when *house is situated* at Mumbai, Kolkata, Delhi, Chennai, Hyderabad, Pune, Ahmedabad and Bangaluru) **or** 40% of salary¹ (when house is situated in any other place) for the relevant period
- c. The excess of rent paid over 10% of salary¹. [Arithmetically, (Rent Paid – 10% of Salary)]

¹ Salary here means: Basic + D.A. (if it forms a part of retirement benefit) + Commission as a fixed % on turnover.

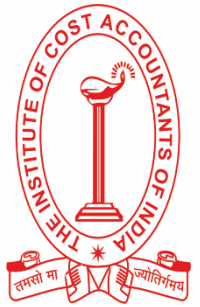
Taxpoint

- a) Salary shall be determined on due basis for the relevant period
- b) Exemption is not available if employee lives in his own house, or in a house for which he does not pay any rent.
- c) Exemption depends on Salary of the employee, Amount of HRA, place of residence (not place of employment), rent paid by the employee.
- d) The exemption is available **ONLY** if assessee has opted for old tax regime

Behind every successful business decision, there is always a **CMA**



Example



X, a resident of Ajmer, receives ₹ 8,48,000 as basic salary during the tax year 2026-27. In addition, he gets ₹ 1,24,800 as dearness allowance forming part of basic salary, 7% commission on sales made by him (sale made by X during the relevant tax year is ₹ 1,86,000) and ₹ 96,000 as house rent allowance. He, however, pays ₹ 1,75,800 as house rent. Determine the quantum of exempted house rent allowance.

Computation of taxable house rent allowance of X for the tax year 2026-27

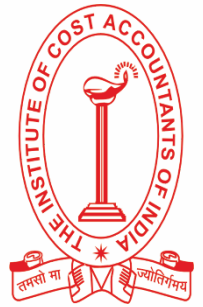
Particulars	Details	Amount
House Rent Allowance Received		96,000
Less: Minimum of the following being exempted u/s 10(13A)		
a) Actual Amount Received	96,000	
b) 40% of Salary (Note)	3,94,328	
c) Rent paid – 10% of salary [₹ 1,75,800 – ₹ 98,582]	77,218	77,218
Taxable House Rent Allowance		18,782

Basic salary	₹ 8,48,000
Dearness Allowance	₹ 1,24,800
Commission (7% of ₹ 1,86,000)	₹ 13,020
Total	₹ 9,85,820

Behind every successful business decision, there is always a **CMA**



Example



Compute the taxable house rent allowance of Mr. Abhijeet from the following data:

- Basic Salary ₹ 50,000 p.m., D.A. ₹ 20,000 p.m., HRA ₹ 40,000 p.m., Rent paid ₹ 40,000 p.m. in Jaipur.
- On 1/07/2026, there is an increment in Basic salary by ₹ 10,000.
- On 1/10/2026, employee hired a new flat in Kolkata at the same rent as he was posted to Kolkata.
- On 1/01/2027, employee purchased his own flat and resides there.

Assume that:

1. He is under new tax regime
2. He has opted for old tax regime

1. If he is under new tax regime, entire HRA of ₹ 4,80,000 is taxable. No exemption is available.

Behind every successful business decision, there is always a **CMA**



Solution .. If opted for old tax regime

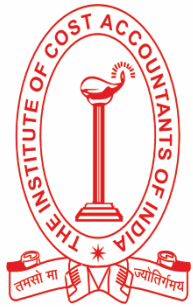


Particulars	Details	Amount	Amount
House Rent Allowance Received (from 1.4.2026 to 30.6.2026)		1,20,000	
Less: Minimum of the following being exempted			
a) Actual Amount Received	1,20,000		
b) 40% of Salary $[(\text{₹ } 50,000 + \text{₹ } 20,000) \times 3]$	84,000		
c) Rent paid – 10% of salary $(\text{₹ } 1,20,000 - \text{₹ } 21,000)$	99,000	84,000	36,000
House Rent Allowance Received (from 1.7.2026 to 30.9.2026)		1,20,000	
Less: Minimum of the following being exempted			
a) Actual Amount Received	1,20,000		
b) 40% of Salary $[(\text{₹ } 60,000 + \text{₹ } 20,000) \times 3]$	96,000		
c) Rent paid – 10% of salary $(\text{₹ } 1,20,000 - \text{₹ } 24,000)$	96,000	96,000	24,000

Behind every successful business decision, there is always a **CMA**



Solution .. If opted for old tax regime



Particulars	Details	Amount	Amount
House Rent Allowance Received (from 1.10.2026 to 31.12.2026)		1,20,000	
Less: Minimum of the following being exempted			
a) Actual Amount Received	1,20,000		
b) 50% of Salary $[(\text{₹ } 60,000 + \text{₹ } 20,000) \times 3]$	1,20,000		
c) Rent paid – 10% of salary $(\text{₹ } 1,20,000 - \text{₹ } 24,000)$	96,000	96,000	24,000
House Rent Allowance Received (from 1.1.2027 to 31.3.2027)			
(Fully taxable as assessee resides in his own house)			1,20,000
Taxable House Rent Allowance			2,04,000

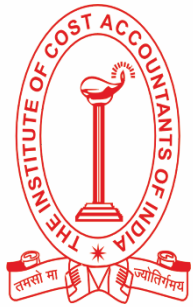
Behind every successful business decision, there is always a **CMA**



Allowances, deduction from which depends on actual expenditure [Sch III Item 12 Rule 280] [Old Sec. 10(14)(i) Rule 2BB]

Travelling Allowance	Any allowance granted to meet the cost of travel on tour or on transfer
Transfer Allowance	Any sum paid in connection with transfer, packing and transportation of personal effects on such transfer
Daily Allowance	Any allowance, whether granted on tour or for the period of journey in connection with transfer, to meet the ordinary daily charges incurred by an employee on account of absence from his normal place of duty
Conveyance Allowance	Any allowance granted to meet the expenditure incurred on conveyance in performance of duties of an office or employment of profit where no free conveyance is provided by the employer <u>Taxpoint:</u> Expenditure for covering the journey between office and residence is not treated as expenditure in performance of duties of office and consequently not covered under this allowance. (that is known as Transport allowance)
Helper Allowance	Any allowance granted to meet the expenditure incurred on a helper where such helper is engaged for the performance of the duties of an office or employment of profit <u>Taxpoint:</u> Servant allowance is fully taxable.
Academic Research Allowance	Any allowance granted for encouraging the academic, research and training pursuits in educational and research institutions
Uniform Allowance	Any allowance granted to meet the expenditure incurred on the purchase or maintenance of uniform for wear during the performance of the duties of an office or employment of profit <u>Taxpoint:</u> Uniform allowance is different from Dress allowance. Dress allowance is fully taxable.

Behind every successful business decision, there is always a **CMA**



Allowances, deduction from which depends on actual expenditure [Sch III Item 12 Rule 280] [Old Sec. 10(14)(i) Rule 2BB]



Allowance	Old Tax Regime	New Tax Regime
<u>Category A</u> a. Travel or Tour or Transfer Allowance b. Daily Allowance c. Conveyance Allowance	i. Actual allowance received; or ii. Actual amount spent for the purpose, - whichever is less would be exempt	
<u>Category B</u> a. Helper Allowance b. Uniform Allowance c. Research or Training Allowance	i. Actual allowance received; or ii. Actual amount spent for the purpose, - whichever is less would be exempt	No Exemption

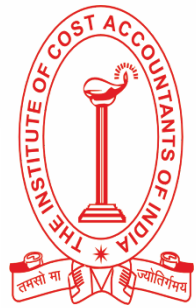
Exemption shall not available if such allowance or benefit is in the nature of a perquisite

Behind every successful business decision, there is always a **CMA**



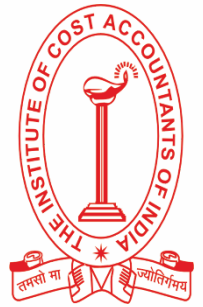
Allowances, deduction from which do not depends on actual expenditure [Sch III Item 13 Rule 280(2)] [Sec. 10(14)(ii) Rule 2BB]

Allowance	Old Tax Regime	New Tax Regime
Special allowances granted to the assessee either to meet his personal expenses at the place where the duties of his office or employment of profit are ordinarily performed by him or at the place where he ordinarily resides or to compensate him for the increased cost of living E.g., City Compensatory Allowance, Tiffin Allowance, Medical Allowance, Servant Allowance, Transport Allowance, etc.	Amount received by the employee in excess of specified limits [specified under rule 280 (Old 2BB(2))] will be taxable. <u>Taxpoint:</u> Deduction is available irrespective of actual expenditure	Exemption is available only in respect of transport allowance to employee who is blind / deaf and dumb / orthopaedically handicapped



Behind every successful business decision, there is always a **CMA**

Allowances, deduction from which do not depends on actual expenditure [Sch III Item 13 Rule 280(2)] [Sec. 10(14)(ii) Rule 2BB]



Children Education Allowance – [Item 7]	Children Hostel Allowance - [Item 8]
Minimum of the following is exempted from tax – a. ₹ 3,000 per month per child (to the maximum of two children) b. Actual amount received for each child (to the maximum of two children)	Minimum of the following is exempted from tax – a. ₹ 9,000 per month per child (to the maximum of two children) b. Actual amount received for each child (to the maximum of two children)

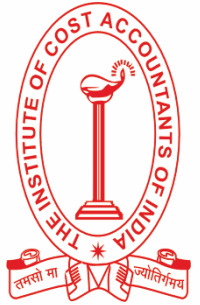
Taxpoint

- a) Child includes adopted child, step-child but does not include illegitimate child and grandchild.
- b) Child may be major or minor child.
- c) Deduction is available irrespective of actual expenditure incurred on education of child.
- d) Exemption is not available under new tax regime

Behind every successful business decision, there is always a **CMA**



Truck Driver's Allowance [Rule 280(2) Item 6]



Any allowance (by whatever name called) granted to an employee working in any transport system to meet his personal expenditure during his duty performed in the course of running of such transport (from one place to another place), provided such employee is not in receipt of daily allowance.

Treatment: Minimum of the following shall be exempted:

- a) 70% of allowance.
- b) ₹ 25,000 p.m.

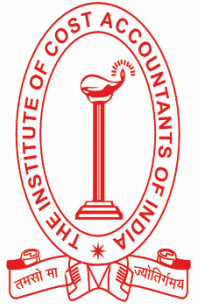
Taxpoint:

- ☐ If assessee is in receipt of Daily allowance then above allowance shall be fully taxable.
- ☐ The exemption is available ONLY if assessee has opted for old tax regime

Behind every successful business decision, there is always a **CMA**



Transport Allowance [Rule 280(2) Item 10]



An allowance, by whatever name called, to meet the expenditure for the purpose of travelling between the place of residence and the place of duty.

Available to: Assessee is blind / deaf and dumb / orthopaedically handicapped with disabilities of lower or upper extremities.

Treatment: Minimum of the following shall be exempted:

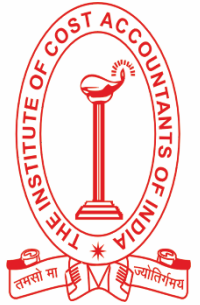
- a. Actual amount received; or
- b. ₹ 15,000 (for metro cities / ₹ 8,000 for other cities) + dearness allowance thereon p.m.

Taxpoint

- ☐ No exemption is available to the assessee other than specified above.
- ☐ Exemption is available irrespective of regime opted by the assessee.



Other Allowance [Rule 280(2)]

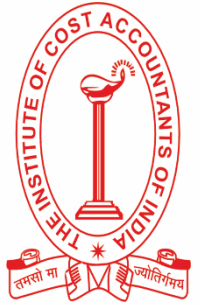


S.N	Allowance	Exemption upto
1	Special Compensatory (Remote Locality) Allowance Places covered under Tough Location Allowance-I	₹ 7,000 p.m., when not claimed exemption mentioned at Sl. No. 4, 5 or 9
2	Special Compensatory (Remote Locality) Allowance Places covered under Tough Location Allowance-II	₹ 4,500 p.m., when not claimed exemption mentioned at Sl. No. 4, 5 or 9
3	Special Compensatory (Remote Locality) Allowance Places covered under Tough Location Allowance-III	₹ 1,500 p.m., when not claimed exemption mentioned at Sl. No. 4, 5 or 9
4	Compensatory Field Area Allowance [Specified location]	₹ 13,500 p.m.
5	Compensatory Modified Field Area Allowance [Specified location]	₹ 8,000 p.m.
9	Special allowance in the nature of counter-insurgency allowance granted to the members of armed forces operating in areas away from their permanent locations	₹ 22,000 p.m.

The exemption is available ONLY if assessee has opted for old tax regime

Behind every successful business decision, there is always a **CMA**

Other Allowance [Rule 280(2)]



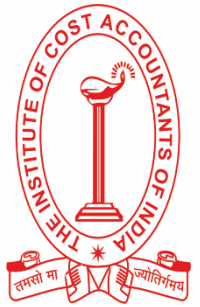
S.N	Allowance	Exemption upto
11	High altitude (uncongenial climate) allowance granted to the member of the armed forces operating in high altitude Areas	Ranging between ₹ 4,500 p.m. to ₹ 30,000 p.m.
12	Underground allowance granted to an employee who is working in uncongenial, unnatural climate in underground mines	15% of basic pay
13	Special allowance granted to the members of the armed forces in the nature of special compensatory highly active field area allowance	₹ 22,000 p.m.
14	Special allowance granted to the member of the armed forces in the nature of Island (duty) allowance or Island Special Duty Allowance [Specified area]	10% to 20% of basic pay
15	Siachen Allowance granted to the members of the armed Forces [Siachen area of Ladakh]	₹ 42,500 p.m.

The exemption is available ONLY if assessee has opted for old tax regime

Behind every successful business decision, there is always a **CMA**



Allowance to Govt employee outside India [Sch III (Item 9) (Old Sec. 10(7))]



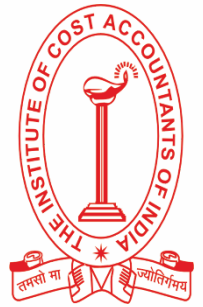
Any allowance or perquisite allowed outside India by the Government to an Indian citizen for rendering services outside India is wholly exempt from tax.

Government employee	Citizen of India; and	Working outside India
---------------------	-----------------------	-----------------------

Behind every successful business decision, there is always a **CMA**



Other Allowances



Allowance received from UNO (United Nations Organisation)

Basic salary or Allowance paid by the UNO to its employees are not taxable.

Compensatory allowance under Article 222(2) of the Constitution

It is fully exempt from tax.

Allowance to judges of the High Court or the Supreme Court

Allowance to High Court Judges or Sumptuary allowance to High Court Judges / Supreme Court Judges / Chief Election Commissioner / Other Election Commissioner is also exempt.



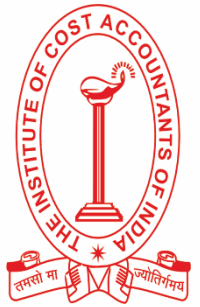
Perquisite [Sec. 17(1) [Old 17(2)]]

Perquisite includes -

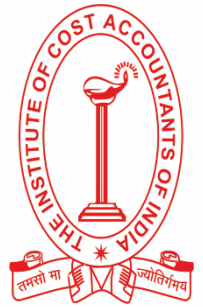
- a. Value of rent-free accommodation *provided* by the employer.
- b. Value of concession in rent in respect of accommodation *provided* by his employer.
- c. The value of any benefit or amenity granted or *provided* free of cost or at concessional rate to 'specified employees'.
- d. The value of any specified security or sweat equity shares allotted or transferred, directly or indirectly, by the employer, or former employer, free of cost or at concessional rate to the assessee.
- e. The value of any other benefit or amenity, as may be prescribed;
- f. Amount *paid* by an employer in respect of any obligation which otherwise would have been payable by the employee.

Taxpoint: *Any obligation of the employee met by employer shall be taxable on cash basis i.e. in the year in which amount is paid by the employer.*

Behind every successful business decision, there is always a **CMA**



Perquisite [Sec. 17(1) [Old 17(2)]]

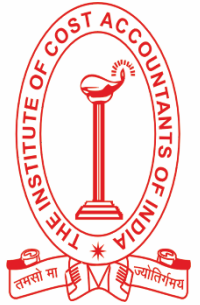


- g. Any sum payable by the employer to effect an assurance on the life of the assessee or to effect a contract for an annuity, whether directly or through a fund, other than—
 - i. a recognised provident fund; or
 - ii. an approved superannuation fund; or
 - iii. a Deposit-linked Insurance Fund established under—
 - A. Sec. 3G of the Coal Mines Provident Fund and Miscellaneous Provisions Act, 1948; or
 - B. Sec. 6C of the Employees' Provident Funds and Miscellaneous Provisions Act, 1952
- h. Aggregate amount of any contribution, in excess of ₹ 7,50,000 in a tax year, made to the account of the assessee by the employer—
 - i. in a recognised provident fund;
 - ii. in the scheme referred to in Sec. 124(1) [old 80CCD]; and
 - iii. in an approved superannuation fund;
- i. Annual accretion by way of interest, dividend or any other amount of similar nature during the tax year to the balance at the credit of the fund or scheme referred to in clause (h), computed in prescribed (to the extent it relates to the contribution referred to in the said clause in any tax year).

Behind every successful business decision, there is always a **CMA**



Perquisite ... cont



a) Perquisites are taxable under the head “Salaries” only if, they are:

- Allowed by an employer to his employee or *any member of his household*.
- Resulting in the nature of personal advantage to the employee.
- Derived by virtue of employee’s authority.

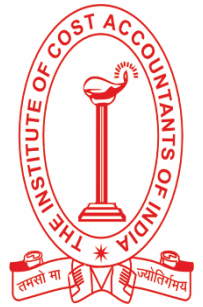
b) Member of household includes:

Spouse (whether dependent or not)	Parents (whether dependent or not);	Servants; and
Children and their spouse (whether dependent or not);		Dependents.

Behind every successful business decision, there is always a **CMA**



Specified Employees [Sec. 17(1)(c)]



Specified employee means:

1. A director employee.
2. An employee who has substantial interest in the employer *company*.

Substantial interest means the employee who beneficially holds 20% or more voting power in the employer company.

3. An employee whose aggregate salary from all employers together exceeds ₹ 4,00,000 p.a.

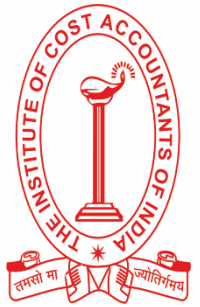
For computing the sum of ₹ 4,00,000, following are to be excluded/deducted:

- a) All non-monetary benefits;
- b) Non-taxable monetary benefits;
- c) Standard Deduction; and
- d) Deductible u/s 19 in respect of Retirement benefits

Behind every successful business decision, there is always a **CMA**



Few Exempted Perquisites

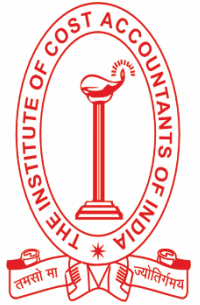


1. **Tea, similar non-alcoholic beverages and snacks** provided during working hours.
2. **Food**: Food provided by employer during working hours provided in remote area / off-shore installation.
3. **Recreational facilities**: Recreational facilities extended to a group of employees.
4. **Goods sold to employee at concessional rate**: Goods manufactured by employer and sold by him to his employees at concessional (not free) rates.
5. **Conveyance facility**: Conveyance facility provided -
 - to employees for journey between office and residence and vice versa.
 - to the judges of High Court and Supreme Court
6. **Training**: Amount spent on training of employees including boarding & lodging expenses for such training.

Behind every successful business decision, there is always a **CMA**



Exempted Perquisites



7. **Services rendered outside India:** Any perquisite allowed *outside India* by the *Government* to a *citizen of India* for rendering services outside India.

8. **Contribution in some specified schemes**

- Employer's contribution to a pension or deferred annuity scheme.
- Employer's contribution to staff group insurance scheme.
- Annual premium paid by the employer on personal accident policy affected by him in respect of his employee.

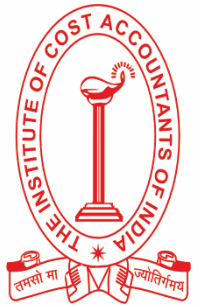
9. **Loans**

- Loan given at nil or at concessional rate of interest by the employer provided the aggregate amount of loan does not exceed ₹ 2,00,000.
- Interest free loan for medical treatment of the diseases specified in Rule 18 (old 3A).

Behind every successful business decision, there is always a **CMA**



Exempted Perquisites



10. **Medical facility**: A provision of medical facility at office is exempt.
11. **Periodicals and journals**: Periodicals and journals required for discharge of work.
12. **Telephone, mobile phone**: Expenses for telephone, mobile phones actually incurred on behalf of employee by the employer whether by way of direct payment or reimbursement.
13. **Free education facility**: Free education facility to the children (without having restriction on number of children) of employee in an institution owned or maintained by the employer provided cost of such facility does not exceed ₹ 3,000 p.m. per child.
14. **Computer or Laptop**: Computer or Laptop or Tablet provided whether to use at office or at home (provided ownership is not transferred to the employee).
15. **Movable assets**: Sale or gift of any movable asset (other than car and electronic items) to employee after being used by the employer for 10 or more years.

Behind every successful business decision, there is always a **CMA**



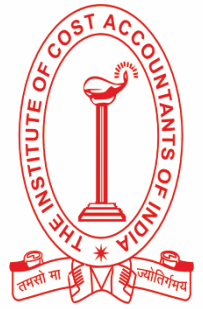
Exempted Perquisites



10. **Leave Travel Concession** (LTC) subject to few conditions (under old tax regime only)
11. **Health club, Sports club** facility
12. **Rent-free accommodation**
 - Rent-free official residence provided to a Judge of a High Court or the Supreme Court.
 - Rent-free furnished residence (including maintenance thereof) to Official of Parliament, a Union Minister or a Leader of opposition in Parliament.
13. **Accommodation**: Accommodation provided -
 - on transfer of an employee in a hotel for a period not exceeding 15 days in aggregate; or
 - in a remote area to an employee working at a mining site or an onshore exploration site or a project execution site or a dam site or a power generation site or an offshore site.



Exempted Perquisites



14. Tax on non-monetary perquisite paid by employer on behalf of employee – Sch III Table S. No. 10 [old sec. 10(10CC)]. Income tax paid by employer on behalf of employee on income, being *non-monetary perquisite*, is not a taxable perquisite.

Tax paid by employer on behalf of employee on income other than non-monetary perquisite is taxable

Behind every successful business decision, there is always a **CMA**



Valuation of Perquisites [Rule 15 (Old 3)]

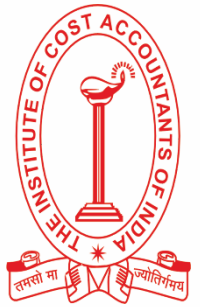
Valuation of Rent-free unfurnished accommodation (RFA) [Rule 15(2)]

Rent-free accommodation is taxable in the hands of all employees (except the Judges of High Court or Supreme Court and Official of the Parliament or Union Minister and a leader of Opposition).

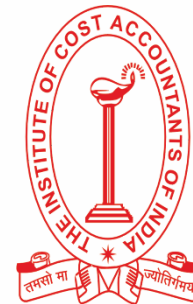
Government Employee	Residual
Licence Fees	Lower of certain % of salary or hire charges

1. Where the accommodation is provided by Government to an employee who is serving on deputation with any body or undertaking under the control of such Government:
 - i. the employer of such an employee shall be deemed to be that body or undertaking where the employee is serving on deputation; and
 - ii. the value of perquisite of such an accommodation shall be the amount calculated as per residual category considering as if the accommodation is owned by the employer.
2. Employee of local authority or foreign government are also covered in residual category

Behind every successful business decision, there is always a **CMA**



Valuation of RFA in Residual cases

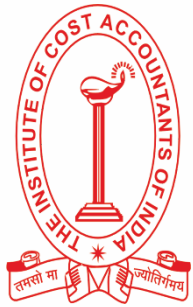


City in which accommodation is provided	Accommodation is owned by the employer	Accommodation is not owned by the employer
Having population exceeding 40 lacs as per 2011 census	10% of salary for the period during which the employee occupied the said accommodation.	i. Rent paid or payable by the employer or ii. 10% of salary in respect of the period during which such accommodation was occupied by employee during the tax year, - whichever is lower.
Having population exceeding 15 lacs but not exceeding 40 lacs as per 2011 census	7.5% of salary for the period during which the employee occupied the said accommodation.	
Any other city	5% of salary for the period during which the employee occupied the said accommodation.	

Behind every successful business decision, there is always a **CMA**



Valuation of RFA in Residual cases



a) Salary for the purpose of Rent free accommodation

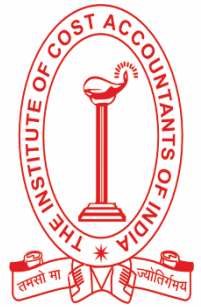
Basic + Dearness allowance/pay (if it forms a part of retirement benefit) + Bonus + Commission + Fees +
All other taxable allowances (only taxable amount) + Any other *monetary* payment by whatever name
called (*excluding perquisites and lump-sum payments received at the time of termination of service or
superannuation or voluntary retirement, like gratuity, severance pay leave encashment, voluntary
retrenchment benefits, commutation of pension and similar payments*)

Taxpoint

- *Salary shall be determined on due basis.*
- *Where an assessee is receiving salary from two or more employers, the aggregate salary for the period during which accommodation has been provided (by any of the employer) shall be considered.*
- *Here salary does not include employer's contribution to Provident Fund of the employee.*



Valuation of RFA in Residual cases

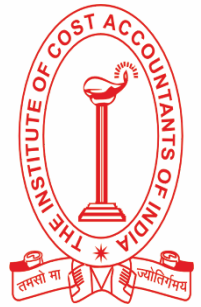


- b) Exemption of 90 days in case of allotment of two houses:** Where an employee is transferred from one place to another and he is provided with an accommodation at new place also, the value of perquisite shall be taken for only one such house having lower value for a period not exceeding 90 days. Thereafter, the values of both such houses are taxable.
- c) Any accommodation provided to an employee working at a mining site or an on-shore oil exploration site or a project execution site or a dam site; or a power generation site or an off-shore site, which
- ☐ being of a temporary nature and having plinth area not exceeding 1000 sq.ft., is located not less than 8 kms away from the local limits of any municipality or a cantonment board; or
 - ☐ is located in a remote area.
- d) Remote area, means any area other than an area which is located:
- within the local limits of; or
 - within a distance, measured aerially, of 30 kilometers from the local limits of, any municipality or a cantonment board having a population of 1,00,000 or more based on the 2011 census

Behind every successful business decision, there is always a **CMA**



Valuation of RFA in Residual cases



- e) **Cap on Valuation in subsequent year(s)**: Where the same accommodation is continued to be provided to the same employee for more than one tax year, the aforesaid calculation shall be restricted to the amount calculated as per the following formula:

Amount calculated for the first tax year X CII for the tax year for which the amount is calculated

CII for the tax year in which the accommodation was initially provided to the employee

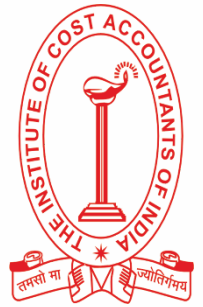
- CII – Cost Inflation Index as notified for the purpose of sec. 72(8)(a)
- First tax year means the tax year 2023-24, or the tax year in which the accommodation was provided to the employee, whichever is later

Particulars	Tax Year 2026-27	Tax Year 2027-28
Cost Inflation Index (CII) .. (Say)	396	425
Salary	₹ 20,00,000	₹ 28,00,000
Valuation of RFA, say 10% of salary [a]	₹ 2,00,000	₹ 2,80,000
Valuation after applying inflation linked capping [b]	₹ 2,00,000 As it is first tax year	₹ 2,14,646 i.e., ₹ 2,00,000 x 425 / 396
Valuation to be taken [Lower of (a) and (b)]	₹ 2,00,000	₹ 2,14,646

Behind every successful business decision, there is always a **CMA**



Valuation of Rent-free Furnished Accommodation



Value of Furnished accommodation = *Value of accommodation + Value of furniture*

- Valuation of Accommodation: As discussed earlier
- Valuation of Furniture: As per the following table

Case	Taxable value
Furniture owned by the employer	10% of original cost of furniture
Furniture hired by the employer	Actual hire charges paid/payable by the employer

- ☐ The above rule of valuation shall be applicable in case of the Government employee also
- ☐ Furniture includes refrigerator, television, radio, air-conditioner and other household appliances, etc.

Behind every successful business decision, there is always a **CMA**



Valuation of accommodation provided at concessional rent



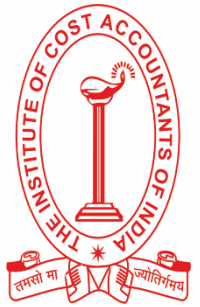
Value of Rent free accommodation as usual	*****
<i>Less:</i> Rent payable by employee to employer for the above facility	****
Taxable value of perquisite (if positive)	****

The above rule of valuation shall be applicable in case of the Government employee also

Behind every successful business decision, there is always a **CMA**



Accommodation provided in hotel



Value of perquisite shall be minimum of the following:

- a) 24% of salary for the period such accommodation is provided; or
- b) Actual charges paid or payable to such hotel.

However, if the following conditions are satisfied then nothing is taxable -

- Such accommodation is provided for a period not exceeding in aggregate 15 days; and
- Such accommodation is provided on transfer of employee from one place to another place.

Note: If the employee pays any rent, the value so determined shall be reduced by the rent actually paid or payable by the employee



Valuation in respect of Motor Car

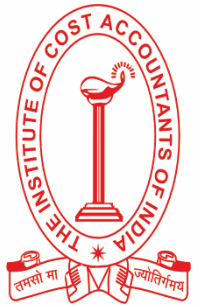


Owned / Hired by	Maintained by	Used by employee for	Taxable value	Chargeable
Employer		Office (Doc maintained)	Not a perquisite	NA
		Personal purpose	M ¹ + D ²	Specified Employee
		Both purpose	₹ 5,000 or ₹ 7,000 p.m. ³	
Employer	Employee	Office (Doc maintained)	Not a perquisite	NA
		Personal purpose	D	Specified Employee
		Both purpose	₹ 2,000 / ₹ 3,00 p.m. ⁴	
Employee	Employer	Office (Doc maintained)	Not a perquisite	NA
		Personal purpose	M	All
		Both purpose	Actual expenditure incurred by the employer as reduced by ₹ 5,000 / ₹ 7,000 p.m. ³ (further deduction of ₹ 3,000 p.m. for driver) or a higher deduction if prescribed conditions are satisfied ⁵	
Employee		Any purpose	Not a perquisite	NA

Behind every successful business decision, there is always a **CMA**



Valuation in respect of Motor Car



1. M = Maintenance cost
2. D = Depreciation @ 10% of actual cost of the car. However, if the car is not owned by employer then actual hire charge incurred by employer shall be considered.
3. ₹ 7,000 p.m. in case of higher capacity car[#] and ₹ 5,000 p.m. for lower capacity car (or electric vehicle).
4. ₹ 3,000 p.m. in case of higher capacity car[#] and ₹ 2,000 p.m. for lower capacity car (or electric vehicle).

[#] Higher capacity car means a car whose cubic capacity of engine *exceeds* 1.6 litres.

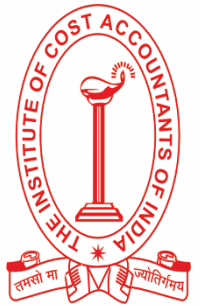
5. Conditions to be fulfilled for claiming higher deductions:

- The employer has maintained complete details of journey undertaken for official purpose, which may include date of journey, destination, mileage, and the amount of expenditure incurred thereon; and
- The employer gives the certificate to the effect that the expenditure was incurred wholly and exclusively for the performance of official duties.

Behind every successful business decision, there is always a **CMA**



Valuation in respect of Motor Car



- a. Chauffeur salary is further to be added to the value of perquisite (as computed above). However, if car is used for both purpose then ₹ 3,000 p.m. (irrespective of higher or lower capacity of car) is to be taken as value of chauffeur perquisite.
- b. If motor car is provided at a concessional rate then charges paid by employee for such car, shall be reduced from the value of perquisite. However, where statutory value is taken as taxable value of perquisite then amount charged from employee shall not be subtracted.
- c. When more than one car is provided to the employee, otherwise than wholly and exclusively for office purpose, the value of perquisite for -
 - One car shall be taken as car is provided partly for office and partly for private purpose i.e. ₹ 5,000 or ₹ 7,000 p.m. (plus ₹ 3,000 p.m. for chauffeur, if provided); and
 - For other car(s), value shall be calculated as car(s) are provided exclusively for private purpose.
- d. Conveyance facility to the judges of High Court or Supreme Court is not taxable.
- e. Use of any vehicle provided to an employee for journey from residence to work place or vice versa is not a taxable perquisite.



Example

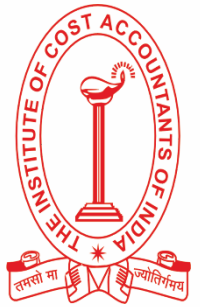
Sonam, has been provided a car (1.7 ltr.) by his employer Vikash Ltd. The cost of car to the employer was ₹ 13,50,000 and maintenance cost incurred by the employer ₹ 1,30,000 p.a. Chauffeur salary paid by the employer ₹ 13,000 p.m. Find value of perquisite for Sonam for the tax year 2026-27, if the car is used for:

a) Office purpose.

b) Personal purpose.

c) Both purposes.

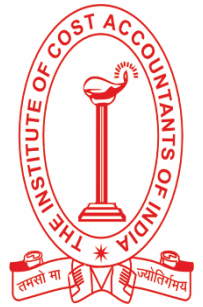
In case (b) and (c), employee is being charged ₹ 15,000 p.a. for such facility.



Behind every successful business decision, there is always a **CMA**



Solution



- a) Nil, as car is used for office purpose.
- b) Taxable value of car facility:

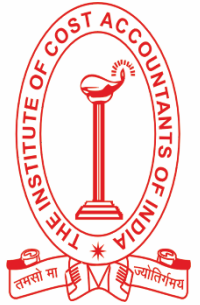
Particulars	Details	Amount
Depreciation of Car	10% of ₹ 13,50,000	1,35,000
Maintenance cost	Actual	1,30,000
Driver's salary	Actual	1,56,000
Total		4,21,000
Less: Amount charged from employee		15,000
Taxable Perquisite		4,06,000

- c) ₹ 7,000 p.m. for car facility + ₹ 3,000 p.m. for driver facility = ₹ 10,000 p.m.
Taxable value of perquisite ₹ 10,000 x 12 = ₹ 1,20,000

Whenever statutory value is taken as taxable value of perquisite then amount charged from employee shall not be subtracted.



Valuation of perk in respect of other automotive conveyance

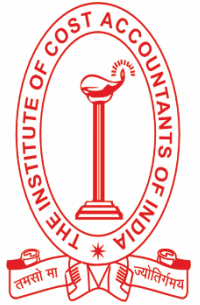


Owned by	Maintained by	Used for	Taxable Value of perquisite	Who is Chargeable
Employee	Employer	Office (Doc maintained)	Nil	Not Applicable
		Both purpose	Actual expenditure incurred by the employer as reduced by ₹ 3,000 p.m. or as reduced by higher sum if prescribed conditions (as discussed in case of Car facility) are satisfied.	

Behind every successful business decision, there is always a **CMA**



Valuation of perk in respect of Domestic Servants [Rule 15(4)]



Servant appointed by	Taxable value of perquisite	Taxable in hands of
Employer	Actual cost to the employer is taxable as perquisite	Specified employee
Employee		All employee

- a) The rule is applicable for services of a sweeper, a gardener, a watchman or a personal attendant
- b) If rent-free accommodation (owned by the employer) is provided with gardener then gardener's salary and maintenance cost of garden shall not be taxable. [*Circular No.122 dated 19/10/1973*]
- c) Any amount charged from the employee for such facility shall be reduced from above value.
- d) Domestic servant allowance given to employee is fully taxable.
- e) Reimbursement of servant-salary by the employer shall be taxable in hands of all employee.

Behind every successful business decision, there is always a **CMA**



Valuation of perk in respect of Gas, Electricity or Water facility



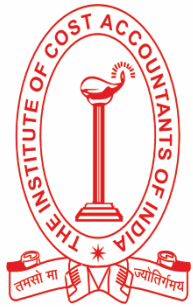
Case	Taxable value of perquisite		Taxable in the hands of
	Facility is provided from own sources	Facility is provided from another agency	
Facility is in name of employee	Manufacturing cost to the employer	Prices paid to such agency	All employees
Facility is in name of employer			Specified employees

Where the employee is paying any amount for such facility, the amount so paid by employee shall be reduced from the value determined above. Positive balance is considered as value of perquisite

Behind every successful business decision, there is always a **CMA**



Valuation of perk in respect of free education



Case	Taxable Value
Facility provided to employee	Not taxable
<i>Facility provided to family member</i>	
Facility provided in an institution maintained and owned by the employer	<u>Where cost of education exceeds ₹ 3,000 p.m. per child:</u> Cost of such education in similar institution as reduced by amount recovered from employee, shall be taxable.
Facility provided in any institution (not owned by the employer) by reason of his being in employment.	<u>Where cost of education does not exceed ₹ 3,000 p.m. per child:</u> Nothing shall be taxable
Reimbursement of education expenditure to employee / Direct payment of fee to school	Actual reimbursement / payment (as reduced by any amount recovered from employee) shall be taxable.

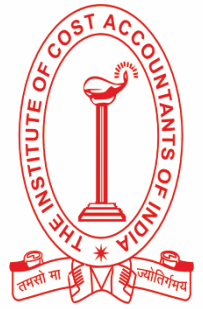
Who is chargeable

Case	Taxability in the hands of
In case of reimbursement; or School fee of family member of the employee paid by the employer directly to school	All employee
In any other case	Specified employee

Behind every successful business decision, there is always a **CMA**



Valuation of perk in respect of free education

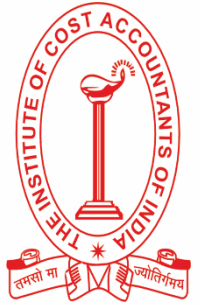


- a) ₹ 3,000 per month per child shall be exempted without any restriction on number of children.
- b) Any amount charged from the employee for such facility shall be reduced from the above value.
- c) Contribution made under an Educational Trust, created for the children of particular group of employees, is not taxable.

Behind every successful business decision, there is always a **CMA**



Valuation of perk in respect of free transport



Case	Treatment
If employer is engaged in transportation business.	Amount charged from public for such facility is taxable in the hands of specified employee.

- a) In case above facility is provided to employees of Railways & Airlines, nothing shall be chargeable to tax.
- b) Any amount charged from the employee for such facility shall be reduced from the above value.
- c) Conveyance facility provided to the employee for journey between office and residence is not taxable.

Behind every successful business decision, there is always a **CMA**



Valuation of perquisite in respect of interest free loan or concessional rate of interest [Rule 15(5)]



Step	Particulars
1	Determine maximum outstanding monthly balance (i.e., the aggregate outstanding balance for each loan as on the last day of each month)
2	Check the interest rate charged by the SBI on first day of the relevant tax year (i.e., 01-04-2026) in respect of loans for the same purpose advanced by it
3	Step 1 x Step 2
4	Interest recovered during the tax year from the assessee by his employer
5	Value of perquisite = Step 3 – Step 4 [if positive]

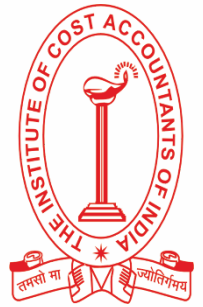
Exception

- **Aggregate loan amount does not exceed ₹ 2,00,000**: If aggregate amount of loan given by the employer (or any other person on his behalf) does not exceed ₹ 2,00,000, nothing shall be taxable. However, if loan amount is more than ₹ 2,00,000, interest shall be levied on total loan amount, rather than the excess amount.
- **Loan for medical treatment**: If loan is given for medical treatment of the employee or any member of his household *in respect of diseases specified in rule 18 (old 3A)*, nothing shall be taxable. However, such exempted loan will not include the amount that has been reimbursed by an insurance company under any medical insurance scheme.

Behind every successful business decision, there is always a **CMA**



Travelling / Touring / Holiday Home expenditure on Holiday [Rule 15(5)]



Valuation of perquisite in respect of travelling, touring, holiday home or any other expenses paid for or borne or reimbursed by the employer for any holiday availed of by the employee or any member of his household is taxable in the hands of all employees as per the following table:

Case	Taxable value of perquisite
Where such facility is maintained by employer and is not available uniformly to all employee	Notional cost of such facility. In other words, value at which such facilities are offered by other agencies to the public.
Where the employee is on official tour and the expenses are incurred in respect of any member of his household accompanying him	The amount of expenditure so incurred for the accompanying member of his household.
Where any official tour is extended as a vacation	The value will be limited to the expenses incurred in relation to such extended period of stay or vacation.
In any other case	Amount incurred by the employer.

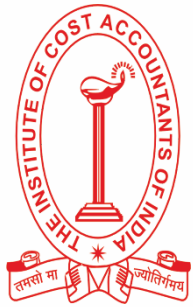
Amount charged from employee shall be reduced

The provisions are not applicable in case of LTC

Behind every successful business decision, there is always a **CMA**



Valuation of perquisite in respect of free meals



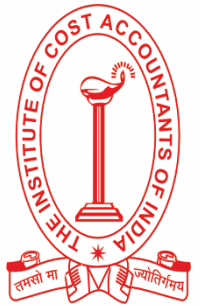
Case	Tax Treatment
Tea, snacks or other non-alcoholic beverages in the form of light refreshment provided during office hours (including over-time)	Nil
Free meals provided during office hours in: - Remote area; or - An offshore installation	Nil
Free meals provided by the employer during office hours (including extended working hours): - At office or business premises; or - Through paid vouchers which are not transferable and usable only at eating joints.	Expenditure on free meals shall be taxable perquisite in hands of all employees. However, where value in either case does not exceed ₹ 200 per meal (under new regime – Nil), then nothing shall be taxable
In any other case	The actual expenditure incurred by employer as reduced by amount charged from employee for such lunch or meal shall be taxable in the hands of all employees. i.e. [Actual expenditure to employer – Amount charged from employee]

Amount charged from employee shall be reduced

Behind every successful business decision, there is always a **CMA**



Gift, voucher or token given by employer



- ❑ The value of any gift, voucher, or token (in lieu of gift) given to the employee (or any member of his household) on ceremonial occasion or otherwise by the employer shall be taxable in the hands of *all employees*.
- ❑ However, where value of such gift, voucher or token is ₹ 15,000, *in aggregate*, during the tax year, nothing shall be taxable.
- ❑ No such exemption (₹ 15,000) is available on gift made in cash or convertible into money.

Behind every successful business decision, there is always a **CMA**



Credit Card



Case	Tax Treatment
Where such credit card is used wholly and exclusively for office purpose and specified conditions [#] are satisfied.	Nil
Where expenses (including membership and annual fees) are incurred by the employee or any member of his household, which is charged to a credit card (including any add-on card) provided by the employer or otherwise, are paid or reimbursed by the employer.	<u>If directly paid by the employer</u> Any amount incurred by the employer as reduced by amount charged from the employee shall be taxable in the hands of all employees <u>If amount reimbursed by the employer</u> Any amount reimbursed by the employer shall be taxable in the hands of all employees.

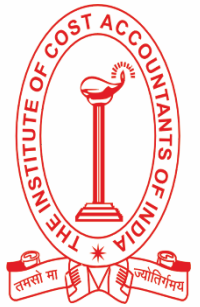
[#] Specified conditions to be fulfilled to claim that expenses have been incurred wholly and exclusively for office purpose:

- Complete details in respect of such expenditure are maintained by the employer which may, *inter-alia*, include the date of expenditure and the nature of expenditure; and
- The employer gives a certificate for such expenditure to the effect that the same was incurred wholly and exclusively for the performance of official duty.

Behind every successful business decision, there is always a **CMA**



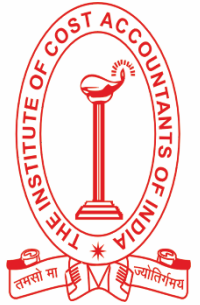
Club Expenditure



Case	Tax Treatment
Where such expenses are incurred wholly and exclusively for office purpose and specified conditions (as discussed earlier) are satisfied.	Nil
Where health club, sports and similar facilities are provided uniformly to all employees by the employer.	Nil
Any payment or reimbursement by the employer of any expenditure incurred (including the amount of annual or periodical fee) in a club by employee or any member of his household	<u>If directly paid by the employer</u> Any amount incurred by the employer as reduced by amount charged from the employee shall be taxable in the hands of all employees. <u>If amount reimbursed by the employer</u> Any amount reimbursed by the employer shall be taxable in the hands of all employees. However, initial fees paid for obtaining corporate membership shall not be a taxable perquisite.

Behind every successful business decision, there is always a **CMA**

Valuation of perquisite in respect of use of movable assets



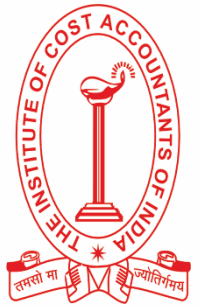
If employee (or any member of his household) uses any movable asset (other than the assets for which provisions have been made) belonging to employer, then such facility is taxable in the hands of *all employees*. The value of such benefit is determined as per the following table:

If the asset is owned by the employer	10% of the original cost of such asset.
If the asset is hired by the employer	Charges paid or payable by the employer

- ☐ Any sum charged from the employee shall be reduced from the value determined as above.
- ☐ Use of computer, laptop, tablets and mobile phones is exempted perquisite.
- ☐ Here movable asset does not include car.



Valuation of perk in respect of movable assets sold by an employer



If the sale price is less than the written down value (calculated as per method and rate mentioned below) then the difference would be treated as perquisite in the hands of *all employees*.

Rates and methods of depreciation for different types of assets are as follow:

Types of asset	Rate of depreciation	Method of depreciation
Electronic items/Computer	50%	Reducing balance
Motor car	20%	Reducing balance
Any other	10%	Straight line

Original cost to the employer	*****
Less: Accumulated depreciation for each completed year during which such asset is used by the employer (no depreciation for part of the year)	****
Written down value	****
Less: Amount charged from employee	***
Value of Perquisite (if positive)	*****

Behind every successful business decision, there is always a **CMA**



Medical Facility [Sec. 17(2)] ... In India



	Case	Treatment
1	Medical facility provided to the employee or his family in a hospital, clinic, dispensary or nursing home maintained by the employer.	Fully exempted
2	Reimbursement of medical bill of the employee or his family of - - Any hospital maintained by Government or Local Authority; or - Any hospital approved by the Government for its employee.	Fully exempted
3	Payment/reimbursement by employer of medical expenses incurred by an employee on himself/his family in a hospital, which is approved by the Principal Chief Commissioner or Chief Commissioner, for the prescribed diseases (like Cancer, TB, AIDS, etc. – Rule 18) Employee must attach with the return of income - - a certificate from the approved hospital specifying the prescribed disease or ailment for which hospitalisation was required; and - a receipt for the amount paid to the hospital.	Fully exempted
4	Group medical insurance (i.e. Mediclaim) obtained by the employer for his employees.	Fully exempted
5	Any reimbursement by employer of any insurance premium paid by the employee, for insurance of his health or the health of any member of his family.	Fully exempted

Behind every successful business decision, there is always a **CMA**

Medical Facility [Sec. 17(2)] ... outside India

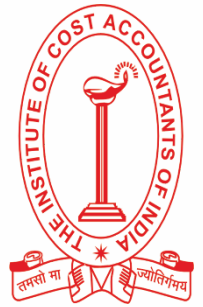


Case	Treatment
Medical Expenditure	Exempted to the extent permitted by RBI.
Cost of stay abroad (Patient + One Attendant/Care taker)	Exempted to the extent permitted by RBI.
Cost of travel (Patient + One Attendant/Care taker)	Exempted only when <u>gross total Income</u> of the employee excluding this (cost of travel) perquisite, does not exceed ₹ 8,00,000 p.a. <u>Taxpoint</u> : In calculation of gross total income ceiling, taxable value of medical treatment perquisite and cost of stay perquisite shall be included.

Behind every successful business decision, there is always a **CMA**



Medical Facility [17(2)]

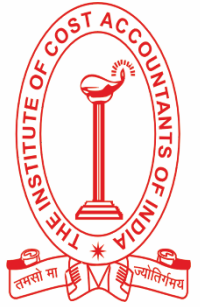


- ❑ Hospital includes a dispensary, a clinic or a nursing home.
- ❑ For this purpose 'family' means:
 - Spouse, children of the individual; and
 - Parents, brothers, sisters of the individual, wholly or mainly dependent on him.
- ❑ Fixed Medical Allowance is fully taxable.
- ❑ The expenditure on medical treatment by the employer may be by way of payment or reimbursement.

Behind every successful business decision, there is always a **CMA**



Example



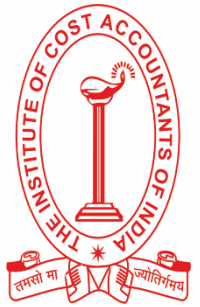
Himalaya Ltd. reimburses the following expenditure on medical treatment of the son of an employee Karan. The treatment was done at UK:

1. Travelling expenses ₹ 2,15,000.
2. Stay expenses at UK permitted by RBI ₹ 1,45,000 (Actual expenses ₹ 1,90,000).
3. Medical expenses permitted by RBI ₹ 1,50,000 (Actual expenses ₹ 2,00,000).

Compute the taxable perquisites for the tax year 2026-27 in the hands of Karan, if his annual income from salary before considering medical facility perquisite was (i) ₹ 6,50,000; (ii) ₹ 9,00,000.



Solution



Particulars	Workings	Details	Case 1	Case 2
Medical expenditure	Amount paid in excess of RBI permission and actual expenditure shall not qualify for exemption.	₹ 2,00,000 – ₹ 1,50,000	₹ 50,000	₹ 50,000
Stay cost	Stay cost in excess of RBI permission and actual expenditure shall not qualify for exemption.	₹ 1,90,000 – ₹ 1,45,000	₹ 45,000	₹ 45,000
Travel cost	Travel cost (Note)		Nil	₹ 2,15,000
Total taxable perquisite			₹ 95,000	₹ 3,10,000

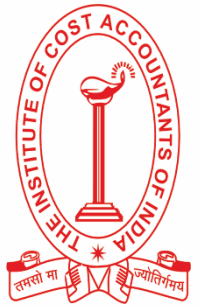
Travel cost shall be eligible for exemption only if gross total income of the assessee does not exceed ₹ 8,00,000, which can be evaluated as under

Particulars	Case 1	Case 2
Annual income from salary other than foreign medical perquisites	6,50,000	9,00,000
Add: <u>Medical facility</u>		
Medical expenditure perquisite	50,000	50,000
Stay cost perquisite	45,000	45,000
Gross Total Income for the purpose of foreign travel medical facility	7,45,000	9,95,000

Behind every successful business decision, there is always a **CMA**



Leave Travel Concession [Sch III Item 8 r.w. r 278 (Old Sec. 10(5))]



If an employee goes on travel (on leave) with his family and traveling cost is reimbursed by the employer, then such reimbursement is fully exempted.

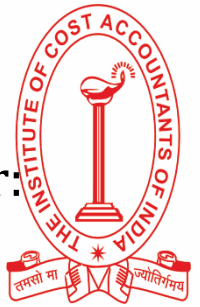
Notes

- 1) Journey may be performed during service or after retirement.
- 2) Employer may be present or former.
- 3) Journey must be performed to any place within India.
- 4) In case, journey was performed to various places together, then exemption is limited to the extent of cost of journey from the *place of origin to the farthest point* reached, by the *shortest route*.
- 5) Employee may or may not be a citizen of India.
- 6) Stay cost is not exempt.

Behind every successful business decision, there is always a **CMA**



Leave Travel Concession [Sch III Item 8 r.w. r 278 (Old Sec. 10(5))]



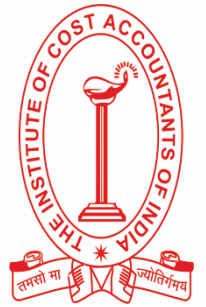
Exemption: Exemption is limited to the amount *actually incurred* on the travel to the extent as under:

Journey performed	Maximum exempted fare
By Air	The amount shall not exceed the fare admissible for the class of travel to which the employee is entitled, by the shortest route to the place of destination
By Rail	Air conditioned 1 st class fare of shortest route
When the place of origin and destination is connected by rail but journey is performed by any other mode of transport	Same as above
When the place of origin and destination is not connected by rail:	
Where a recognised public transport system exists	First class or deluxe class fare, as the case may be, on such transport.
Where no recognised public transport system exists	Amount calculated at the rate of ₹ 30 per KM, for the distance of the journey by the shortest route

Behind every successful business decision, there is always a **CMA**



Leave Travel Concession [Sch III Item 8 r.w. r 278 (Old Sec. 10(5))]



- ❑ No exemption can be claimed without performing journey and incurring expenses thereon.
- ❑ **Block-period**: Exemption is available in respect of 2 journeys performed in a block of 4 **calendar** years commencing from 1st January 2022.

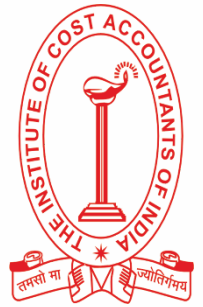
For the tax year 2026-27, the relevant block is Jan 2026 to Dec. 2029.

- ❑ **Carry-forward facility**: Where concession is not availed during the preceding block (whether on one occasion or both), then any one journey performed in the *first calendar year of the immediately succeeding block* will be additionally exempted (i.e. not counted in 2 journey limit)
- ❑ **Family**: Family here means -
 - Spouse and children of the individual; and
 - Parents, brothers and sisters of the individual, who are wholly or mainly dependent on him.

Behind every successful business decision, there is always a **CMA**



Leave Travel Concession [Sch III Item 8 r.w. r 278 (Old Sec. 10(5))]



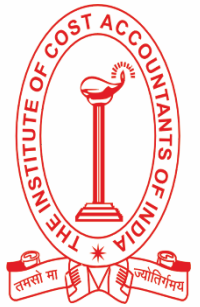
- ❑ **Restriction on number of children**: Exemption can be claimed for any number of children born on or before 30/9/1998. In addition, exemption is available only for 2 surviving children born on or after 1/10/1998.

However, children born out of multiple birth, after the first child, will be treated as one child only.

- ❑ **Fixed Leave travel allowance**: Fixed amount paid to employees by way of leave travel allowance shall not be exempt.
- ❑ The exemption is for travel cost and does not include stay cost or other cost.
- ❑ The exemption is not available if assessee is under new tax regime



Insurance Premium payable by employer



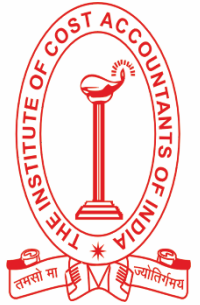
As per sec. 17(1)(g), following sums payable by an employer shall be taxable perquisite *in the hands of all employees*, whether it is paid directly or through a fund (other than recognised provident fund or approved superannuation fund or deposit-linked insurance fund),

- to effect an assurance on the life of the assessee; or
- to effect a contract for an annuity

Behind every successful business decision, there is always a **CMA**



Valuation of sweat equity shares allotted to the assessee

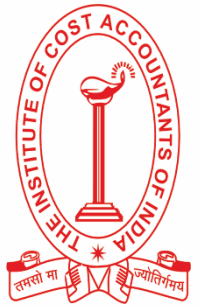


Particulars	Amount
The fair market value (as per Rule 15) of the specified security or sweat equity shares, as the case may be, on the date on which the option is exercised by the assessee	***
<i>Less:</i> The amount actually paid by, or recovered from the assessee in respect of such security or shares	***
Value of perquisite (if positive) taxable in the year in which such shares are allotted	***

Behind every successful business decision, there is always a **CMA**



Valuation of sweat equity shares allotted to the assessee



Computation of Fair Market Value [Rule 15(6)]

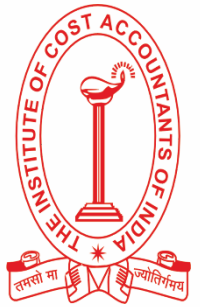
Case	FMV Shall be
On the date of the exercising of the option, the share is listed on a recognised stock exchange	Average of the opening price and closing price on that date on the said stock exchange
On the date of exercising of the option, the share is listed on more than one recognised stock exchanges	Average of the opening price and closing price on the recognised stock exchange which records the highest volume of trading in the share
On the date of exercising of the option, there is no trading in the share on any recognized stock exchange	The closing price of the share on any recognised stock exchange on a date closest to the date of exercising of the option and immediately preceding such date. However, if it listed on more than one such exchange, then consider value recorded by that exchange which records the highest volume of trading in such share
On the date of exercising of the option, the share is not listed on a recognised stock exchange / in case of any specified security other than share	As determined by a merchant banker on the specified date

Behind every successful business decision, there is always a **CMA**



Valuation of any other benefits, amenity, etc.

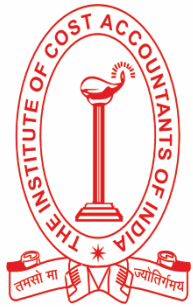
The value of any other benefit or amenity, service, right or privilege provided by the employer, shall be determined on the basis of cost to the employer under an arm's length transaction as reduced by the employee's contribution, if any



Behind every successful business decision, there is always a **CMA**



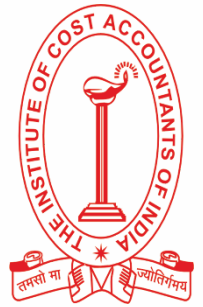
Provident Fund



Particulars	SPF	RPF	URPF	PPF
Employer's Contribution	Not taxable	Contribution to RPF / NPS / Superannuation Fund in excess of ₹ 7,50,000 p.a. shall be taxable	Not taxable	Not Applicable
Employee's Contribution	Eligible for deduction u/s 123 (old 80C) [only under the old regime]		Not eligible for deduction u/s 80C	Eligible for deduction u/s 123 [only under the old regime]
Interest on employer's contribution	Not Taxable	Exempted @ 9.5% p.a. Any excess interest will be taxable as salary.	Not taxable	Not Applicable
Interest on employee's contribution	Not Taxable (Subject to Note 1)	Exempted @ 9.5% p.a. Any excess interest will be taxable as salary (Subject to Note 1)	Not Taxable	Not taxable
Lump Sum withdrawal	Exempt – Sch II (3) [Old Sec. 10(11)]	Exempt – Sch II (4) [Old Sec. 10(12)] (Subject to Note 3)	Note 2	Exempt

Behind every successful business decision, there is always a **CMA**

Provident Fund



1. Interest accrued during the tax year in the account of an employee maintained by the fund shall not be exempted to the extent it relates to the following amount:

Case	Interest not exempted
Where employer is giving contribution	Interest on employee's contribution (made on or after 01-04-2021) in excess of ₹ 2,50,000 per year
Where employer is not giving contribution	Interest on employee's contribution (made on or after 01-04-2021) in excess of ₹ 5,00,000 per year

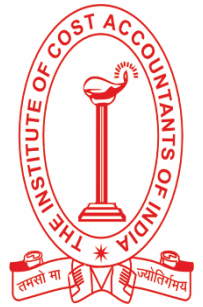
Calculation of taxable interest relating to contribution in a provident fund or RPF, exceeding specified limit [Rule 277 (old 9D)]

For this purpose, separate accounts within the provident fund account shall be maintained during the tax year 2021-22 and all subsequent tax years for taxable contribution and non-taxable contribution made by a person and the interest accrued during the tax year in the taxable contribution account shall not be exempt.

Behind every successful business decision, there is always a **CMA**



Provident Fund



2. Lump sum amount withdrawn from URPF

Particulars	Tax treatment
Accumulated employer's contribution	Fully taxable under the head Salaries
Accumulated employee's contribution	Not taxable
Accumulated interest on employer's contribution	Fully taxable under the head Salaries
Accumulated interest on employee's contribution	Fully taxable as income from other sources

Behind every successful business decision, there is always a **CMA**



3. Lump sum amount withdrawn from RPF

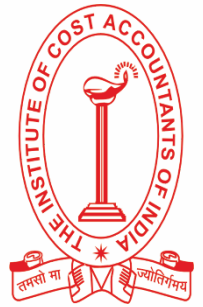
a) Amount withdrawn from RPF is not taxable, if

- ☐ Employee retires or terminates job after 5 years of continuous service; or
- ☐ Employee has resigned before completion of 5 years and joins another organization (who also maintains recognized provident fund and his fund balance with current employer is transferred to the new employer).
- ☐ The entire balance standing to the credit of the employee is transferred to his account under New Pension Scheme as referred u/s 124 (old 80CCD)
- ☐ Employee retires or terminates job before 5 years of continuous service -
 - by reason of ill health; or
 - by reason of discontinuance of employer's business; or
 - any other reason beyond the control of employee.

b) In any other case, amount withdrawn shall be taxable as in the case of URPF. [Refer Note 2].



Employer's Contribution towards certain Funds [Sec. 17(1)(h)]



1. The aggregate amounts of any contribution made to the account of the assessee by the employer:

(a) in a Recognised Provident Fund (RPF);

(b) in the scheme referred to in sec. 124(1) (old 80CCD) [i.e., NPS]; and

(c) in an approved superannuation fund,

- in excess of ₹ 7,50,000 in a tax year shall be taxable.

Taxpoint: There is combined upper limit of ₹ 7,50,000 in respect of employer's contribution in a year to NPS, superannuation fund and recognised provident fund and any excess contribution is taxable.

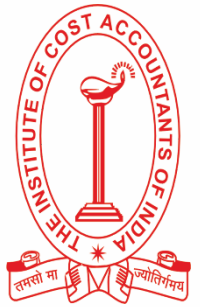
Behind every successful business decision, there is always a **CMA**



Employer's Contribution towards certain Funds [Sec. 17(1)(i)]

2. The annual accretion (like interest, dividend, etc.) during the tax year to the balance at the credit of the aforesaid fund or scheme to the extent it relates to the contribution referred earlier (i.e., ₹ 7,50,000) shall be taxable

Taxpoint: Such accretion shall be included in the total income and shall be computed as per Rule 16 (old 3B)



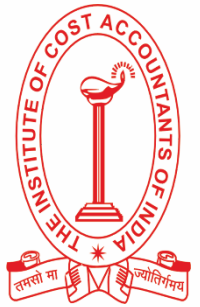
Employer's Contribution towards certain Funds [Rule 16]

$$TP = (PC/2) \times R + (PC1 + TP1) \times R$$

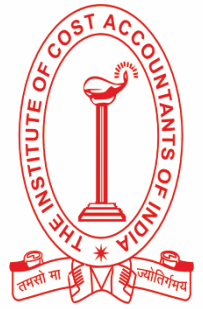
TP	Taxable perquisite u/s 17(1)(i) for the current tax year
TP1	Aggregate of taxable perquisite under section 17(1)(i) for the tax year or years commencing on or after 01-04-2020 other than the current tax year
PC	Aggregate amount of principal contribution made by the employer in excess of ₹ 7,50,000 to the specified fund or scheme during the tax year
PC1	Aggregate amount of principal contribution made by the employer in excess of ₹ 7,50,000 to the specified fund or scheme for the tax year or years commencing on or after 01-04-2020 other than the current tax year
R	I/ F(avg.)
I	Aggregate amount of income accrued during the current tax year in the specified fund or scheme account
F(avg.)	[(Aggregate amount of balance to the credit of the specified fund or scheme on the first day of the current tax year) + (Aggregate amount of balance to the credit of the specified fund or scheme on the last day of the current tax year)] / 2

However, where the aggregate amount of TP1 and PC1 exceed the aggregate amount of balance to the credit of the specified fund or scheme on the first day of the current tax year, then the excess amount shall be ignored for the purpose of computing the aggregate amount of TP1 and PC1

Behind every successful business decision, there is always a **CMA**



Example

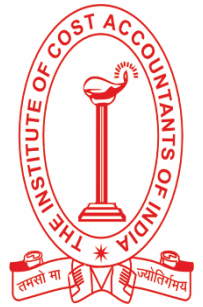


Mr. A is appointed as a CEO of XYZ Ltd. in Kolkata from 01-10-2025. His basic salary is ₹ 6,50,000 p.m. He is paid 8% as DA. He contributes 10% of his pay and DA towards his recognized provident fund and the company contributes the same amount. The accumulated balance in recognized provident fund as on 01-4-2026, 31-03-2027 and 31-03-2028 is ₹ 8,83,570, ₹ 28,32,748 and ₹ 50,84,779, respectively. Compute the perquisite value chargeable to tax in the hands of Mr. A u/s 17(1)(h) and 17(1)(i) for the tax year 2026-27 and 2027-28. Prior to 01-10-2025, he was a consultant, whose professional fees were taxable under the head “Profits and gains of business or profession.

Behind every successful business decision, there is always a **CMA**



Computation of perquisite value taxable u/s 17(1)(h) and 17(1)(i) for tax year 2026-27



1	<u>Perquisite value taxable u/s 17(1)(h)</u>			
	Employer's contribution to recognized provident fund during the tax year 2026-27		₹ 8,42,400	
	Less: Statutory limit		₹ 7,50,000	₹ 92,400
2	<u>Perquisite value taxable u/s 17(1)(i)</u>			
	Annual accretion on perquisite taxable u/s 17(1)(h) $[(PC/2) \times R + (PC1 + TP1) \times R]$ [i.e., $(₹ 92,400 / 2) \times 0.14228 + 0$]			₹ 6,573
	PC	Employer's contribution in excess of ₹ 7.5 lakh to recognized provident fund during tax year 2026-27	₹ 92,400	
	PC1	Since employer's contribution is less than ₹ 7.5 lakh to recognized provident fund in tax year 2020-21 and subsequent year	Nil	
	TP1	Aggregate of taxable perquisite u/s 17(1)(i) for the tax year or years commencing on or after 01/04/2020 other than the current tax year	Nil	
	R	I/Favg [i.e., $2,64,378 / 18,58,159$]	0.14228	
	I	RPF balance as on 31-03-2027 – Employee's and employer's contribution during the year – RPF balance as on 1.4.2026 [i.e., $₹ 28,32,748 - ₹ 8,42,400 - ₹ 8,42,400 - ₹ 8,83,570$]	₹ 2,64,378	
	Favg	Balance to the credit of recognized provident fund as on 01-04-2026 + Balance to the credit of recognized provident fund as on 31-03-2027)/2 [i.e., $(₹ 8,83,570 + ₹ 28,32,748)/2$]	₹ 18,58,159	
Value of perquisite taxable u/s 17(1)(h) and 17(1)(i)				₹ 98,973

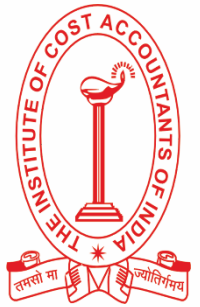
Behind every successful business decision, there is always a **CMA**

Computation of perquisite value taxable u/s 17(2)(h) and 17(2)(i) for tax year 2026-27

Note

Interest on the aggregate of following will also be chargeable to tax during tax year 2026-27:

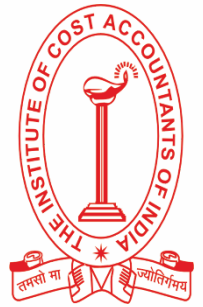
- a. ₹ 1,71,200 [Employee's contribution exceeding ₹ 2,50,000 during tax year 2025-26]
- b. ₹ 5,92,400 [Employee's contribution exceeding ₹ 2,50,000 during tax year 2026-27]
- c. Interest accrued on ₹ 1,71,200 being excess employee's contribution of tax year 2025-26



Behind every successful business decision, there is always a **CMA**



Computation of perquisite value taxable u/s 17(1)(h) and 17(2)(i) for tax year 2027-28



1	<u>Perquisite value taxable u/s 17(1)(h)</u>			
	Employer's contribution to recognized provident fund during tax year 2027-28		₹ 8,42,400	
	Less: Statutory limit		₹ 7,50,000	₹ 92,400
2	<u>Perquisite value taxable u/s 17(1)(i)</u>			
	Annual accretion on perquisite taxable u/s 17(1)(h) $[(PC/2) \times R + (PC1 + TP1) \times R]$ [i.e., $(92,400/2) \times 0.14328 + (92,400 + 6,573) \times 0.14328$]			₹ 20,801
	PC	Employer's contribution in excess of ₹ 7.5 lakh to recognized provident fund during tax year 2027-28	₹ 92,400	
	PC1	Amount of employer's contribution in excess of ₹ 7,50,000 to RPF in tax year 2020-21 to tax year 2026-27	₹ 92,400	
	TP1	Taxable perquisite u/s 17(1)(i) from tax year 2020-21 to 2026-27	₹ 6,573	
	R	I/Favg [i.e., $5,67,231/39,58,763$]	0.14328	
	I	RPF balance as on 31-03-2028 – Employee's and employer's contribution during the year – RPF balance as on 1.4.2027 [i.e., ₹ 50,84,779 – ₹ 8,42,400 – ₹ 8,42,400 – ₹ 28,32,748]	₹ 5,67,231	
	Favg	Balance to the credit of recognized provident fund as on 01-04-2027 + Balance to the credit of recognized provident fund as on 31-03-2028)/2 [i.e., $(₹ 28,32,748 + ₹ 50,84,779)/2$]	₹ 39,58,763	
Value of perquisite taxable u/s 17(1)(h) and 17(1)(i)				₹ 1,13,201

Behind every successful business decision, there is always a **CMA**

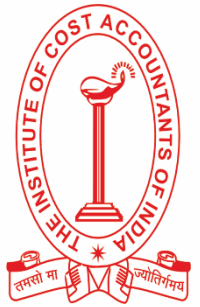


Computation of perquisite value taxable u/s 17(1)(h) and 17(1)(i) for tax year 2027-28

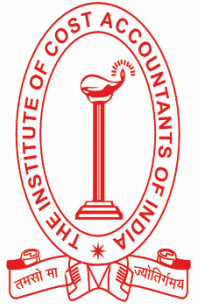
Note

Interest on the aggregate of following will also be chargeable to tax during tax year 2027-28:

- a. ₹ 1,71,200 [Employee's contribution exceeding ₹ 2,50,000 during tax year 2025-26]
- b. ₹ 5,92,400 [Employee's contribution exceeding ₹ 2,50,000 during tax year 2026-27]
- c. ₹ 5,92,400 [Employee's contribution exceeding ₹ 2,50,000 during tax year 2027-28]
- d. Interest accrued on ₹ 1,71,200 being excess employee's contribution of tax year 2025-26
- e. Interest accrued on ₹ 5,92,400 being excess employee's contribution of tax year 2026-27



Standard Deduction [Sec. 19(1) (Table 2)] [Old 16(ia)]

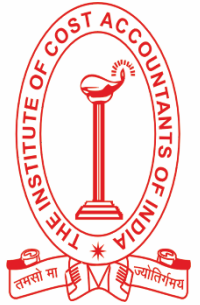


If assessee has opted for the old tax regime	If assessee is under new tax regime
Lower of the following shall be allowed as standard deduction to all employee:	Lower of the following shall be allowed as standard deduction to all employee:
a. ₹ 50,000	a. ₹ 75,000
b. Amount of gross salary	b. Amount of gross salary

Behind every successful business decision, there is always a **CMA**



Professional Tax [Sec. 19(1) Table 1] [Old 16(iii)]



Tax on employment, profession, trade, etc. levied by a State under Article 276 of the Constitution will be allowed as deduction on cash basis, whether paid by employee or by employer (on behalf of employee) from gross taxable salary.

Taxpoint: If employer (on behalf of employee) pays Professional tax then:

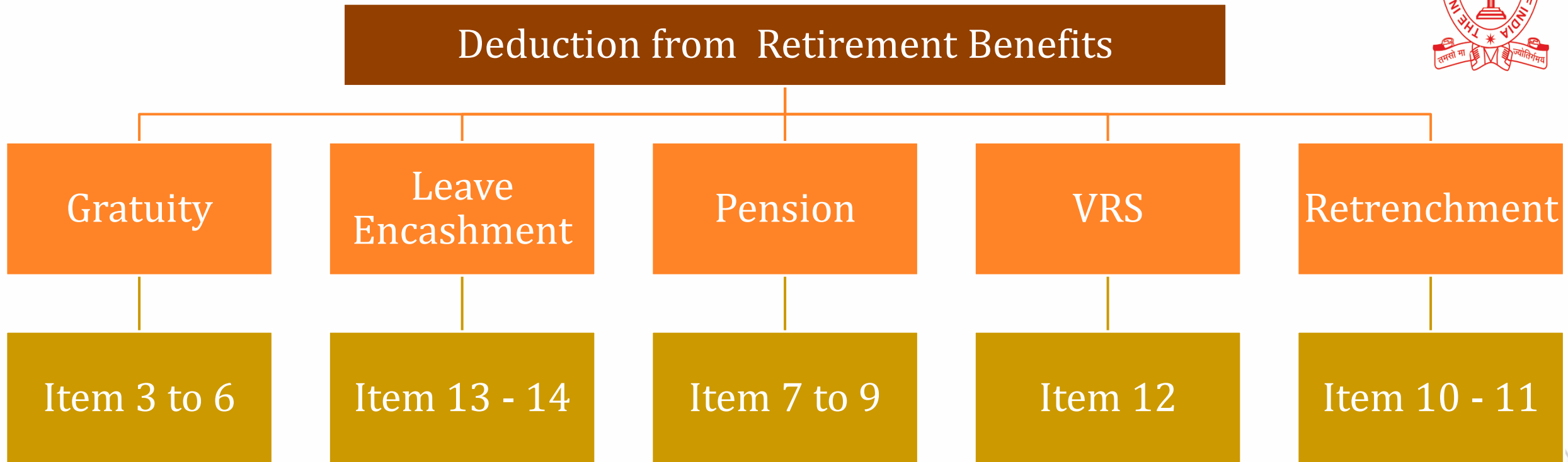
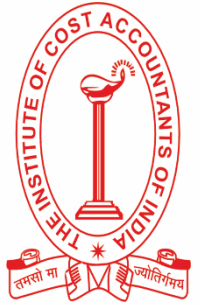
- a. Firstly, it is to be included as taxable perquisite; and
- b. Further, it is allowed as deduction u/s 19(1).

The deduction is not available under new tax regime

Behind every successful business decision, there is always a **CMA**



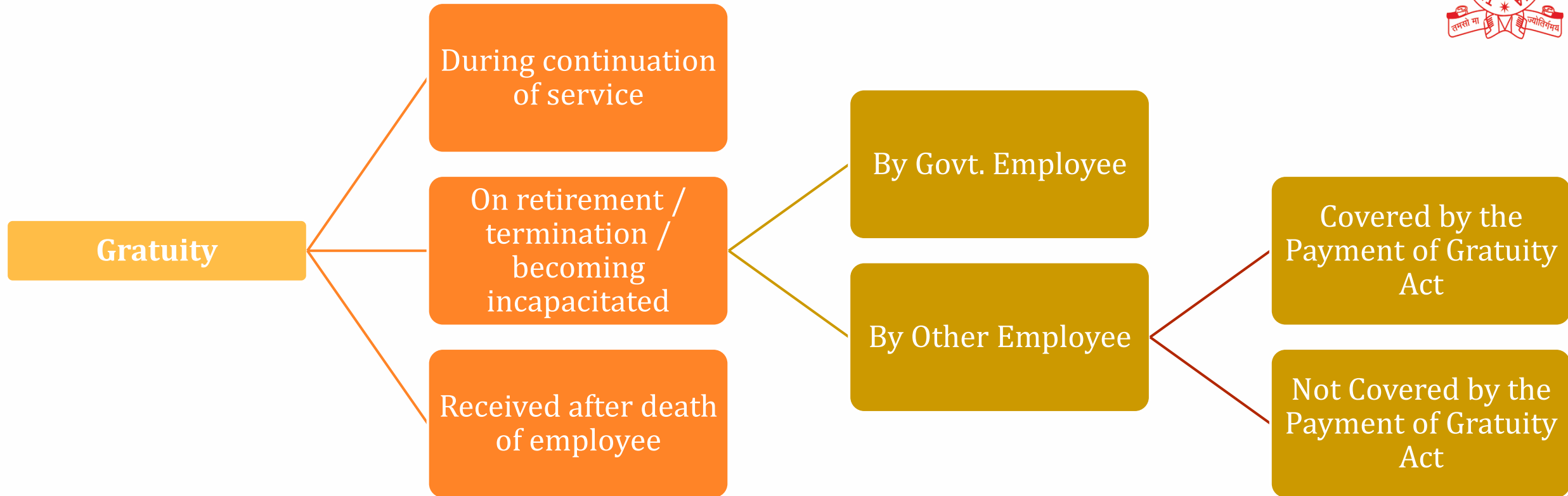
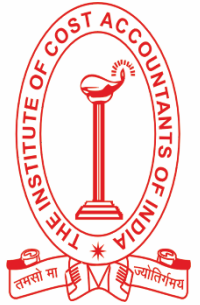
Deduction from Retirement Benefits [Sec. 19]



Behind every successful business decision, there is always a **CMA**



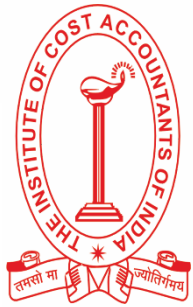
Gratuity [Sec. 19(1) Table 3 to 6] [Old 10(10)]



Behind every successful business decision, there is always a **CMA**



Tax Treatment of Gratuity



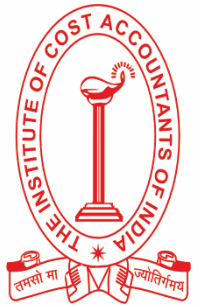
Gratuity received	Treatment
1. During service tenure	1. Fully taxable [Sec. 16(c)]
2. At the time of retirement / termination / becoming incapacitated	
a) Government	Fully deductible [Sec. 19(1) Table Item 3 & 4]
b) Any other Employer	
- Covered by the Payment of Gratuity Act	Min. shall be deductible [Sec. 19(1) Table Item 5] and balance shall be taxable: 1. Actual Gratuity received; 2. ₹ 20,00,000; 3. 15 working days ³ salary ¹ for every completed year of service ² $[\frac{15}{26} \times \text{Completed year of service} \times \text{Salary p.m.}]$

1. Salary means Basic + DA (forming part of retirement benefit), last drawn
2. Completed year of service includes any fraction in excess of 6 months.
3. 7 working days in case of employees of seasonal establishment
4. In case of piece-rated employees, salary shall be calculated by applying average of last three months wages immediately preceding his termination.
5. The deduction is available under both tax regime.
6. Assessee can claim relief u/s 157 [Old 89] on taxable portion

Behind every successful business decision, there is always a **CMA**



Tax Treatment of Gratuity



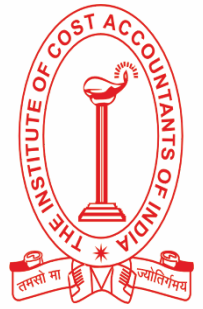
Gratuity received	Treatment
b) Any other Employer	
- Not covered by Payment of Gratuity Act	Min. shall be deductible [Sec. 19(1) Table Item 6] and balance shall be taxable: 1. Actual Gratuity received; 2. ₹ 20,00,000 [life-time limit]; 3. $\frac{1}{2} \times \text{Completed year of service}^1 \times \text{Average Salary p.m.}^2$

1. Completed year of service ignores any fraction of month.
2. Average Salary here means, Basic + DA (forming part of retirement benefit) + Commission (as a fixed percentage on turnover) being last 10 months average salary, immediately preceding the month of retirement.
3. The deduction is available under both tax regime.
4. Assessee can claim relief u/s 157 [Old 89] on taxable portion
5. While claiming the statutory amount (i.e. ₹ 20,00,000) any amount earlier claimed as deduction shall be reduced from ₹ 20,00,000 – for item 6
6. Similarly, where gratuity is received from more than one employer in the same tax year, the aggregate amount exempt from tax shall not exceed statutory deduction – for item 6

Behind every successful business decision, there is always a **CMA**



Tax Treatment of Gratuity



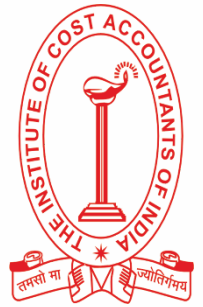
Following shall be considered as it is received from government and it is fully tax deductible:

- ❑ Payment of retiring gratuity received under the Pension Code or Regulations applicable to the members of the defence services
- ❑ Death—*cum*-retirement gratuity
 - A. received under the revised pension rules of the Central Government, or the Central Civil Services (Pension) Rules, 2021; or
 - B. received under any similar scheme applicable—
 - i. to the members of the civil services of the Union or holders of posts connected with defence or of civil posts under the Union (such members or holders being persons not governed by the said rules);
 - ii. to the members of the all-India services;
 - iii. to the members of the civil services of a State or holders of civil posts under a State; or
 - iv. to the employees of a local authority;

Behind every successful business decision, there is always a **CMA**



Example



Ashok, an employee of ABC Ltd., receives ₹ 12,05,000 as gratuity under the Payment of Gratuity Act, 1972. He retires on 10th September, 2026 after rendering service for 35 years and 7 months. The last drawn salary was ₹ 52,700 per month. Calculate the amount of gratuity chargeable to tax.

Solution: Computation of taxable gratuity of Mr. Ashok for the tax year 2026-27

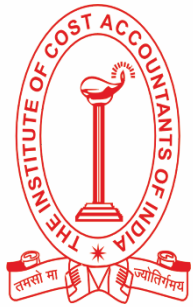
Particulars	Details	Amount
Gratuity received		12,05,000
Less: Minimum of the following is deductible:		
a) Actual gratuity received	12,05,000	
a) Statutory Amount	20,00,000	
a) $\frac{15}{26}$ x completed year of service x salary p.m. [$\frac{15}{26}$ x 36 x ₹ 52,700]	10,94,538	10,94,538
Taxable Gratuity		1,10,462

First, ₹ 12,05,000 shall be included in gross salary and then deduction of ₹ 10,94,538 is available u/s 19.

Behind every successful business decision, there is always a **CMA**



Example



Mr. Oldman retired from his job after 29 years 6 months and 15 days of service on 17/12/2026 and received gratuity amounting ₹ 14,00,000. His salary at the time of retirement was basic ₹ 36,000 p.m., dearness allowance ₹ 11,200 p.m., House rent allowance ₹ 12,000, Commission on turnover 1%, Commission on profit ₹ 25,000. He got an increment on 1/4/2026 of ₹ 5,000 p.m. in Basic. Turnover achieved by assessee ₹ 10,00,000 p.m. Calculate his taxable gratuity if he is a —

(a) Government employee (b) Non Govt employee covered by the Act (c) Non Govt employee not covered by the Act

Solution: Computation of taxable gratuity of Mr. Oldman for the tax year 2026-27

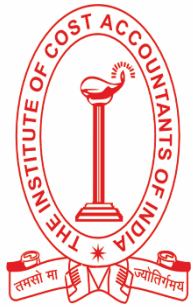
Particulars	Case (b)		Case (c)	
	Details	Amount	Details	Amount
Gratuity received		14,00,000		14,00,000
Less: Min. of the following is deductible				
— Actual gratuity received	4,00,000		4,00,000	
— Statutory Amount	20,00,000		20,00,000	
— $\frac{15}{26}$ x completed year of service x salary p.m. [$\frac{15}{26}$ x 30 x 47,200]	8,16,923	8,16,923		
— $\frac{1}{2}$ x completed year of service x salary p.m. [$\frac{1}{2}$ x 29 x 56,200]			8,14,900	8,14,900
Taxable Gratuity		5,83,077		5,85,100

In case of government employee, it is fully deductible

Behind every successful business decision, there is always a **CMA**



Example



Workings for case (b):

1. Completed year of service is 30 years.
2. Salary here means (Basic + Dearness Allowance) last drawn. i.e. (₹ 36,000 + ₹ 11,200) = ₹ 47,200

Workings for case (c):

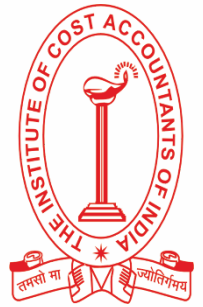
1. Completed year of service is 29 years.
2. Salary here means Basic + Dearness Allowance + Commission on turnover, being last 10 months average just preceding the month of retirement, as shown below:

Particulars	1	2	3	4	5	6	7	8	9	10	Total
	Feb'26	Mar	Apr	May	June	July	Aug	Sept	Oct	Nov	
Basic	31,000	31,000	36,000	36,000	36,000	36,000	36,000	36,000	36,000	36,000	3,50,000
D.A.	11,200	11,200	11,200	11,200	11,200	11,200	11,200	11,200	11,200	11,200	1,12,000
Commission	10,000	10,000	10,000	10,000	10,000	10,000	10,000	10,000	10,000	10,000	1,00,000
Total											5,62,000
Average salary = ₹ 5,62,000 / 10 months											56.200

First, ₹ 14,00,000 shall be included in gross salary and then deduction is available u/s 19.



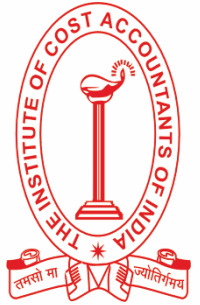
Gratuity received after death of employee



- ❑ **Gratuity due before the death:** If gratuity becomes due before the death of the assessee (no matter when and by whom received), it shall be taxable (excess portion after considering deduction u/s 19) in the hands of employee.
- ❑ **Gratuity due after the death:** Whereas if gratuity becomes due after the death of assessee, it shall not be taxable (even in the hands of legal heir of the assessee).



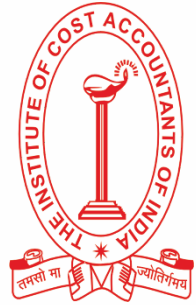
Leave Encashment [Sec. 19(1) Table 13 & 14] [Old 10(10AA)]



Behind every successful business decision, there is always a **CMA**



Tax Treatment



Case	Treatment
1. During service	Fully taxable [Sec. 16(h)]
2. At retirement by employee of:	
- Government	Fully deductible [Sec. 19(1) Table Item 13] [irrespective of regime deduction is available]
- Other Employer	Minimum of the following shall be deductible u/s 19(1) [Table Item 14] [irrespective of regime] - Actual amount received; ₹ 25,00,000 [life-time limit] 10 months average salary¹ - Cash equivalent of 30 days average salary for every completed year of service² as reduced by actual leave availed or encashed during the tenure of service. 30 days is the max. If employer allows for less than 30 days p.a. then lesser days shall be considered.
- Average salary means Basic + DA (forming part of retirement benefit) + Commission (as a fixed percentage on turnover) being last 10 months average salary <u>from the date of retirement</u>. - Completed year of service: <u>ignore</u> any fraction of the year. - While claiming the statutory amount (i.e. ₹ 25,00,000) any deduction claimed earlier as leave encashment shall be reduced from ₹ 25,00,000.	

Example



Mr. Bhanu is working in Zebra Ltd. since last 25 years 9 months. Company allows 2 months leave for every completed year of service to its employees. During the job, he had availed 20 months leave. At the time of retirement on 10/8/2026, he got ₹ 8,50,000 as leave encashment. As on that date, his basic salary was ₹ 35,000 p.m., D.A. was ₹ 5,000 p.m., Commission was 5% on turnover + ₹ 6,000 p.m. (Fixed p.m.). Turnover effected by the assessee during last 12 months (evenly) ₹ 5,00,000. Bhanu got an increment of ₹ 5,000 p.m. from 1/1/2026 in basic and ₹ 1,000 p.m. in D.A. Compute his taxable leave encashment salary.

Solution

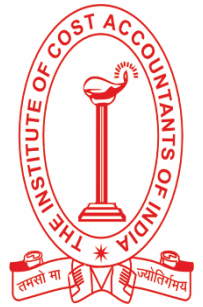
1. Completed year of service: 25 years 9 months = 25 years
2. Salary here means Basic + DA + Commission on turnover (last 10 months average from the date of retirement)

Particulars	Oct' 25 21 days	Nov	Dec	Jan' 26	Feb	Mar	April	May	June	July	Aug 10 Days	Total
Basic	20,323	30,000	30,000	35,000	35,000	35,000	35,000	35,000	35,000	35,000	11,290	3,36,613
D.A.	2,710	4,000	4,000	5,000	5,000	5,000	5,000	5,000	5,000	5,000	1,613	47,323
Comm.	500000 x 5% x 10/12											20,833
Total												4,04,769
Average salary i.e. ₹ 4,04,769 / 10 months												40,477

Behind every successful business decision, there is always a **CMA**



Example



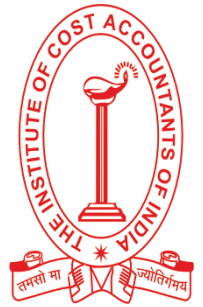
Computation of taxable leave encashment salary of Mr. Bhanu for the tax year 2026-27

Particulars	Details	Amount
Leave encashment received		8,50,000
Less: Min. of the following is deductible		
a) Actual amount received	8,50,000	
b) Statutory Amount	25,00,000	
c) 10 months x Av. Salary p.m. (10 x 40,477)	4,04,770	
d) [{1x completed year of service - Leave taken} x salary p.m.]		
[^] [{1 x 25 - 20} x 40,477]	2,02,385 [^]	2,02,385
Taxable Leave Encashment		6,47,615

Behind every successful business decision, there is always a **CMA**



Example



How shall your solution differ if the assessee had taken 2 months leave instead of 20 months, during his continuation of job

Computation of taxable leave encashment salary of Mr. Bhanu for the tax year 2026-27

Particulars	Details	Amount
Leave encashment received		8,50,000
Less: Min. of the following is deductible		
a) Actual amount received	8,50,000	
b) Statutory Amount	25,00,000	
c) 10 months x Av. Salary p.m. (10 x 40,477)	4,04,770	
d) [{1x completed year of service - Leave taken} x salary p.m.]		
^ [{1 x 25 - 2} x ₹ 40,477]	9,30,971^	4,04,470
Taxable Leave Encashment		4,45,230

Behind every successful business decision, there is always a **CMA**



Example

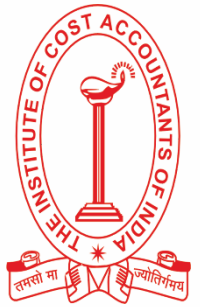
Mr. Das retired on 31/3/2027. At the time of retirement, 18 months leave was lying to the credit of his account. He received leave encashment equivalent to 18 months Basic salary ₹ 9,00,000. His employer allows him 1½ months leave for every completed year of service. During his tenure, he availed of 12 months leave. At the time of retirement, he also gets D.A. ₹ 13,000. His last increment of ₹ 6,000 in basic was on 1/4/2026. Find taxable leave encashment.

Solution

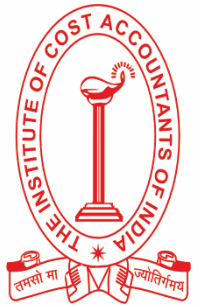
Working

1. **Calculation of completed year of service:** Employee has received 18 months leave encashment on termination of service as well he had enjoyed leave of 12 months during his tenure. That means he had received a leave benefit of 30 months. Since leave allowed by employer is 1½ months for every completed year of service, this signifies that Mr. Das had completed 20 years (being $30/1\frac{1}{2}$) of service.
2. Salary means, Basic + DA + Commission, being last 10 months average from the date of retirement. There is no increment in last 10 months (last increment was on 1/4/2026) and there is no commission, hence Av. Salary = ₹ 50,000 (i.e. ₹ 9,00,000/18) + ₹ 13,000 = ₹ 63,000 p.m.

Behind every successful business decision, there is always a **CMA**



Example



Computation of taxable leave encashment of Mr. Das for the tax year 2026-27

Particulars	Details	Amount
Leave Encashment received		9,00,000
Less: Minimum of the following is deductible		
a. Actual amount received	9,00,000	
b. Statutory Amount	25,00,000	
c. 10 months x Av. Salary p.m. (10 x 63,000)	6,30,000	
d. {1 x completed year of service - Leave taken} x Avg. salary p.m. [{1 x 20 - 12} x ₹ 63,000]	5,04,000	5,04,000
Taxable Leave Encashment		3,96,000

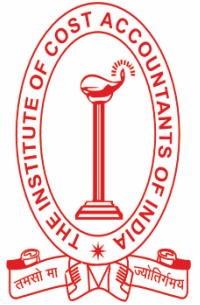
Behind every successful business decision, there is always a **CMA**



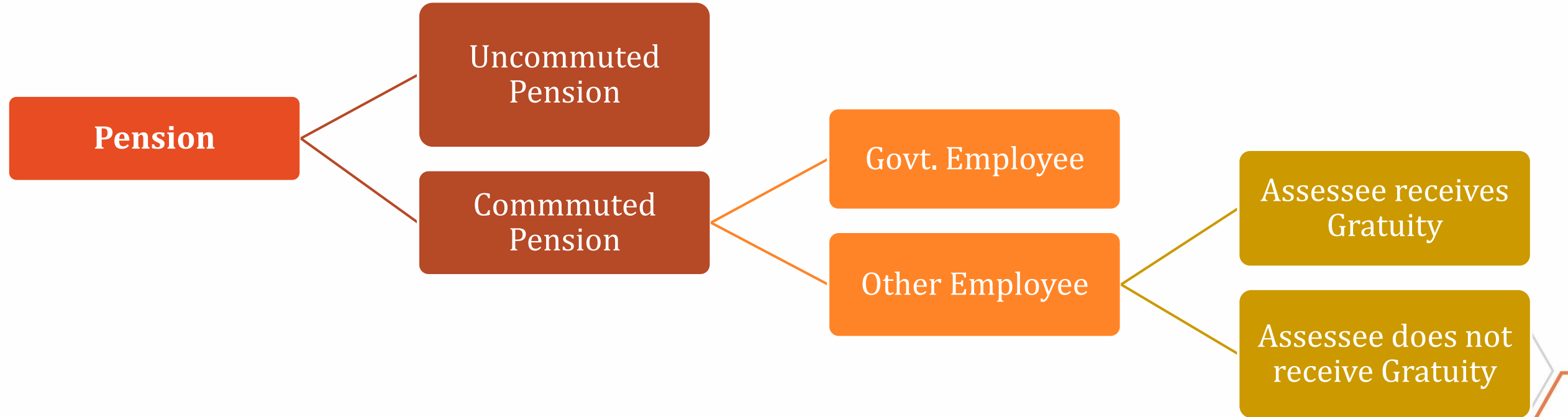
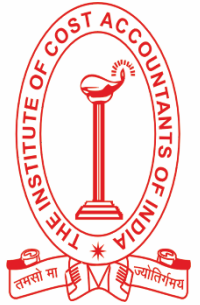
Leave salary paid to the legal heir

Leave salary paid to the legal heir of deceased employee is not taxable. [*Circulars Letter No. F.35/1/65-IT(B), dated 5/11/1965*].

Further, leave salary received by a legal heir of the Government employee who died in harness is not taxable in the hands of the recipient [*Circulars No.309, dated 3/7/1981*].



Pension [Sec. 19(1) Table 7, 8 & 9] [Old 10(10A)]



Behind every successful business decision, there is always a **CMA**



Tax Treatment



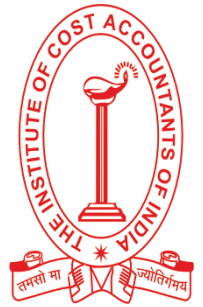
Cases	Treatment
Uncommuted Pension	Fully Taxable [Sec. 16(b)]
Commuted Pension (i.e lump sum payment) received by a	
a) Government employee	Fully deductible [Table Item No. 7 & 9] [irrespective of regime deduction is available]
b) Other employee	
- If employee receives gratuity (covered or not)	1/3 rd of total value of commuted pension, which he is normally entitled, is deductible. [Table Item No. 8] [irrespective of regime deduction is available]
- If employee does not receive gratuity	½ of total value of commuted pension, which he is normally entitled, is deductible. [Table Item No. 8] [irrespective of regime deduction is available]

- a) Pension received by a widow or legal heir of a deceased employee shall not be taxable as salary but taxable as IFOS
- b) Where commuted pension is taxable, relief u/s 157 (old 89) is available.
- c) Pension received from UNO is not taxable.

Behind every successful business decision, there is always a **CMA**



Tax Treatment



Commuted pension from following is covered by Item 7 & 9

☐ Payment in commutation of pension received

A. under the Civil Pensions (Commutation) Rules of the Central Government; or

B. under any similar scheme applicable to—

- i. the members of the civil services of the Union or holders of posts connected with defence or of civil posts under the Union, [such members or holders not covered above];
- ii. the members of the all-India services;
- iii. the members of the defence services;
- iv. the members of the civil services of a State, or the holders of civil posts under a State; or
- v. the employees of a local authority or a corporation established by a Central Act or State Act or Provincial Act.

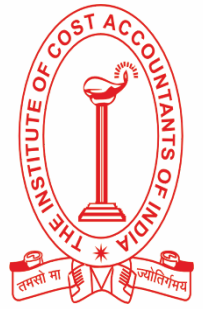
☐ Payment in commutation of pension received from a fund as specified in Schedule VII (Table: Sl. No. 3)

- Any fund set up by LIC on or after 01-08-1996; or
- Any fund set up by any other insurer under a pension scheme

Behind every successful business decision, there is always a **CMA**



Example

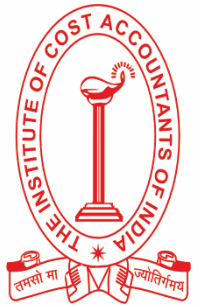


Mr. Narayan retired from service on 1/6/2026. As on that date, his monthly salary was Basic ₹ 75,000 p.m., Commission on turnover 5%. Total turnover achieved by him during last 10 months (occurred evenly) ₹ 50,00,000. On retirement, after 20 years 3 months of service, he received gratuity ₹ 10,00,000, leave salary ₹ 6,00,000. During his tenure he has availed leave of 15 months. He is entitled to pension of ₹ 25,000 p.m. Compute his salary assuming he is covered by the Payment of Gratuity Act. He has not opted for old tax regime

Behind every successful business decision, there is always a **CMA**



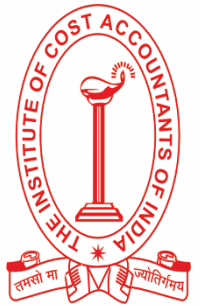
Solution



Particulars	Details	Amount	Amount
Basic Salary	75,000 x 2		1,50,000
Commission on turnover	(50,00,000/10x2) x 5%		50,000
Gratuity			10,00,000
Leave Encashment			6,00,000
Uncommuted Pension	25,000 x 10		2,50,000
Gross Salary			20,50,000
Less: Deduction u/s 19			
Standard Deduction		75000	
Gratuity being lower of the following			
a) Actual Amount Received	10,00,000		
b) Statutory Amount	20,00,000		
c) $\frac{15}{26} \times 20 \times ₹ 75,000$	8,65,385	8,65,385	
Leave Encashment being lower of the following			
a) Actual Amount Received	6,00,000		
b) Statutory Amount	25,00,000		
c) 10 months x ₹ 1,00,000	10,00,000		
d) $(1 \times 20 - 15) \times ₹ 1,00,000$	5,00,000	5,00,000	14,40,385
Taxable Salary			6,09,615

Behind every successful business decision, there is always a **CMA**

Retrenchment Compensation [Sec. 19(1) Table 10 & 11] [Old 10(10B)]



Any compensation received by a worker at the time of retrenchment is deductible to the extent of minimum of the following:

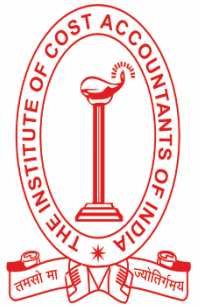
- a) Actual amount received;
- b) ₹ 5,00,000; or
- c) An amount calculated in accordance with the provisions of sec. 25F(b) of Industrial Dispute Act, 1947 [Sec. 70 of the Industrial Relations Code, 2020] (Under the said Act a workman is entitled to retrenchment compensation equivalent to 15 days' average pay, for every completed year of service or any part thereof in excess of 6 months).

Where the compensation is paid under any *scheme approved by the Central Government*, entire amount is deductible

Behind every successful business decision, there is always a **CMA**



Compensation received at the time of VRS [Sec. 19(1) Table 12] [Old 10(10C)]



Conditions for exemption

1. Compensation is received from specified employer
2. Amount is received as per VRS framed in accordance with prescribed guidelines (other than CG / SG employee)

Amount of exemption

Exemption shall be minimum of the following -

- a) Actual amount received as per guidelines; or

Specified Employer

A public sector company (under a scheme of voluntary separation); or any other company; or an authority established under a Central Act or State Act or Provincial Act; or a local authority; or a co-operative society; or a University; or an Indian Institute of Technology; or the Central or any State Government; or notified institution, having importance throughout India or in any State or States; or other notified management institute

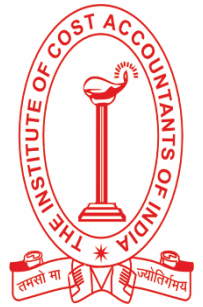
Taxpoint:

- ❑ Compensation received from the employer being an individual, firm, HUF, AOP, etc. is fully taxable

Behind every successful business decision, there is always a **CMA**



Compensation received at the time of VRS [Sec. 19(1) Table 12] [Old 10(10C)]



Guidelines [Rule 20 (Old 2BA)]

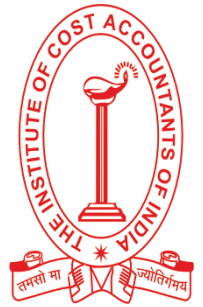
1. Scheme (VRS) must be applicable to all employees (other than director)
2. Scheme applies to an employee who have either completed age of 40 years or has completed 10 years of service.
(This condition is, however, not applicable where compensation is received at the time of voluntary separation from a public sector company)
3. Such scheme must be framed to reduce the number of employees.
4. The vacancy caused by VRS is not to be filled up.
5. The retiring employee is not to be employed in another company or concern belonging to the same management.
6. The amount of compensation does not exceed
 - the amount equivalent to 3 months salary for each completed year of service; or
 - salary at the time of retirement multiplied by the balance month of service left.

Salary = Basic + DA (if forms a part of retirement benefit) + fixed percentage of commission on turnover], last drawn

Behind every successful business decision, there is always a **CMA**



Compensation received at the time of VRS [Sec. 19(1) Table 12] [Old 10(10C)]

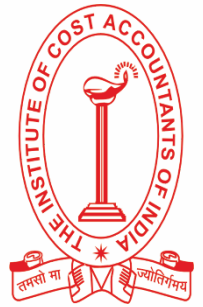


- ❑ Salary here means [Basic + DA (if forms a part of retirement benefit) + fixed percentage of commission on turnover], last drawn.
- ❑ The benefit is available irrespective of regime
- ❑ Where exemption is allowed to an assessee under this section in any tax year then no deduction is allowed in any subsequent tax years. It means deduction under this section is allowed ***once in life*** of an assessee.
- ❑ Where any relief has been allowed to an assessee u/s 157 (old 89) in respect of voluntary retirement, no exemption shall be allowed under this section.

Behind every successful business decision, there is always a **CMA**



Relief when salary, etc., is paid in arrears or in advance [Sec. 157] [Old 89]



Where the total income of an assessee is assessed at a rate higher than the rate at which it would otherwise have been assessed, due to the following receipts:

- ☐ Arrear or advance salary; or
- ☐ Salary for more than twelve months in any one tax year; or
- ☐ A payment in the nature of “profits in lieu of salary” u/s 18(1); or
- ☐ Arrears of “family pension” as defined in sec. 93(1)(d)

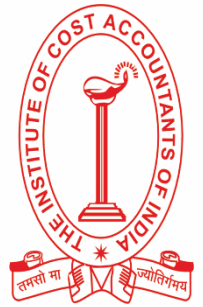
the Assessing Officer shall on an application made to him by the assessee in this behalf, grant such relief, as may be prescribed.

Taxpoint: Such relief shall **not** be granted on any income on which deduction has been claimed by the assessee in sec. 19(1) (Table: Sl. No. 12) [i.e. VRS Compensation]

Behind every successful business decision, there is always a **CMA**



Exempted Salary of Non-Resident [Sch IV Table 2] [Old 10(6)(ii)]



Applicable to

An official, by whatever name called, of an embassy, high commission, legation, commission, consulate or the trade representation of a foreign State, or as a member of the staff of any of these officials, not being an Indian Citizen

Conditions

- ❑ The remuneration received as a trade commissioner or other official representative in India of the government of a foreign State (not holding office as such in an honorary capacity), or as members of the staff, if any, of the government, resident for similar purposes in the country concerned enjoy a similar exemption in that country; &
- ❑ The members of the staff are subjects of the country represented and are not engaged in any business or profession or employment in India otherwise than as members of such staff.

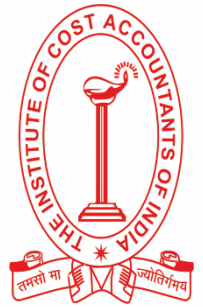
Exemption

Any remuneration received for service in such capacity as an official, shall not be included

Behind every successful business decision, there is always a **CMA**



Exempted Salary of Non-Resident [Sch IV Table 3] [Old 10(6)(vi)]



Applicable to

A person who is an employee of a foreign enterprise, not being a citizen of India

Conditions

- ☐ The foreign enterprise is not engaged in any trade or business in India;
- ☐ His stay in India does not exceed in the aggregate a period of 90 days in such tax year; and
- ☐ Such remuneration is not liable to be deducted from the income of the employer chargeable under this Act.

Exemption

Any remuneration received as an employee for services rendered by him during his stay in India, shall not be included

Behind every successful business decision, there is always a **CMA**



Exempted Salary of Non-Resident [Sch IV Table 4] [Old 10(6)(viii)]

Applicable to

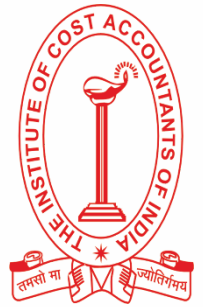
Any individual being a non-resident, not being a citizen of India

Conditions

The total stay of such individual in India does not exceed in the aggregate a period of 90 days in the tax year.

Exemption

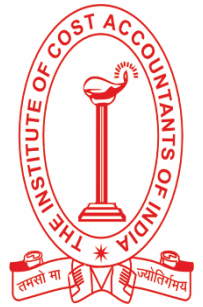
Any income chargeable under the head “Salaries”, received or due as remuneration for services rendered in connection with his employment on a foreign ship, shall not be included



Behind every successful business decision, there is always a **CMA**



Exempted Salary of Non-Resident [Sch IV Table 5] [Old 10(6)(xi)]



Applicable to

An employee of the Government of a foreign State, not being a citizen of India

Conditions

Such remuneration is received during his stay in India in connection with his training in any establishment or office of, or in any undertaking owned by:

- ☐ the Government; or
- ☐ any company in which the entire paid-up share capital is held by Government (Central or State(s) or both); or
- ☐ any company which is a subsidiary of aforesaid company; or
- ☐ any corporation established by or under a Central Act or State Act or Provincial Act; or
- ☐ any society registered under the Societies Registration Act, 1860, or under any other law and wholly financed by Government (Central or State(s) or both)

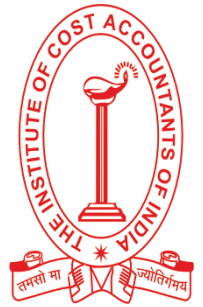
Exemption

Any remuneration received as an employee of the Government of a foreign State, shall not be included

Behind every successful business decision, there is always a **CMA**



Meaning of Salary for different purpose



For Retirement benefit

Gratuity (covered by the Payment of Gratuity Act)	(Basic + DA) last drawn
Gratuity (not covered by the Act)	(Basic + DA ¹ + Commission ²) being average of last 10 months preceding the month of retirement.
Leave encashment	(Basic + DA ¹ + Commission ²) being average of last 10 months immediately from the retirement.
Voluntarily retirement	(Basic + DA ¹ + Commission ²) last drawn

For regular benefit

Rent Free Accommodation	(Basic + DA ¹ + Commission ² + Bonus + Fees + Any other taxable allowance + Any other monetary benefits excluding perquisite)
Specified employee	(Basic + DA + Commission ² + Bonus + Fees + Any other taxable allowance + Any other monetary benefits – Standard Deduction)
Any other case	(Basic + DA ¹ + Commission ²)

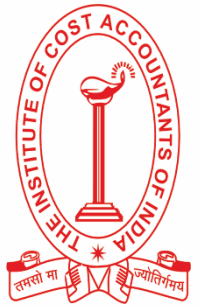
¹. DA only if it forms a part of retirement benefit.

². Commission as a fixed percentage on turnover.

Behind every successful business decision, there is always a **CMA**



Section Mapping

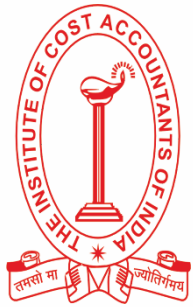


Particulars	Old Law	New Law
Salaries – Charge	15	15
Income from Salary	17(1)	16
Perquisite	17(2)	17
Profits in lieu of salary	17(3)	18
Standard Deduction	16(ia)	19(1) Table 2
Deduction for Professional Tax	16(iii)	19(1) Table 1
Deduction from Gratuity	10(10)	19(1) Table 3 to 6
Deduction from Pension	10(10A)	19(1) Table 7 to 9
Deduction from Retrenchment Compensation	10(10B)	19(1) Table 10 to 11
Deduction from VRS Compensation	10(10C)	19(1) Table 12
Deduction from Leave Encashment	10(10AA)	19(1) Table 13 to 14

Behind every successful business decision, there is always a **CMA**



Section Mapping

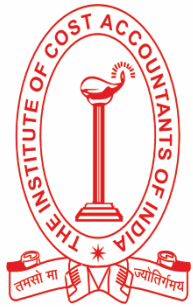


Particulars	Old Law	New Law
Place of accrual of salary	9(1)(iii)	9(3)
The value of any travel concession or assistance	10(5)	Sch III Table S No. 8
Allowance to Government employees outside India	10(7)	Sch III Table S No. 9
Tax on non-monetary perquisite	10(10CC)	Sch III Table S No. 10
House Rent Allowance	10(13A)	Sch III Table S No. 11
Any special allowance or benefit to the extent to which such expenses are actually incurred for that purpose	10(14)(i)	Sch III Table S No. 12
Any Allowance	10(14)(ii)	Sch III Table S No. 13
Income from Statutory Provident Fund	10(11)	Sch II Table S No. 3
Income from Recognised Provident Fund	10(12)	Sch II Table S No. 4
Income from Superannuation Fund	10(13)	Sch II Table S No. 8

Behind every successful business decision, there is always a **CMA**



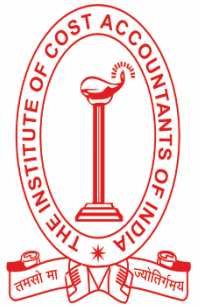
Rule Mapping



Particulars	Old Law	New Law
Valuation of Perquisite	3	15
Annual accretion referred to in sec. 17(1)(i)	3B	16
Salary income for purposes of sec. 17(1)(c)(ii) [i.e., Specified employee]	3C	17
Exemption of medical benefits from perquisite value in respect of medical treatment of prescribed diseases or ailments in hospitals approved by Chief Commissioner	3A	18
Gross total income for purposes of section 17(3)(b) [i.e., medical treatment outside India]	3D	19
Procedure for purposes of sec. 19 [Table: Sl.No.12] relating to voluntary retirement or voluntary Separation	2BA	20

Behind every successful business decision, there is always a **CMA**

Rule Mapping

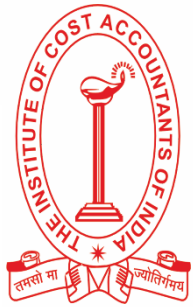


Particulars	Old Law	New Law
Calculation of taxable interest relating to contribution in a provident fund or recognised provident fund, exceeding specified limit	9D	277
Conditions for purposes of Schedule III [Table: Sl. No. 8] [i.e., Leave Travel Concession]	2B	278
Limits for the purposes of Schedule III [Table: Sl.No. 11] i.e., HRA	2A	279
Allowances for purposes of Schedule III [Table: Sl. Nos. 12 & 13]	2BB	280

Behind every successful business decision, there is always a **CMA**



Key Changes



Particulars	Old Law	New Law
Increase in threshold limit for children education allowance	100 p.m.	3,000 p.m.
Increase in threshold limit for children hostel allowance	300 p.m.	9,000 p.m.
Transport Allowance	3,200 p.m.	Metro : 15,000 + DA p.m. Other: 8,000 + DA p.m.
Truck Driver Allowance	₹ 10,000 p.m.	25,000 p.m.
Meal Voucher	50 per meal	200 per meal
Gift	5,000	15,000
Valuation of Motor Car perquisite	1,800 / 2,400 p.m.	5,000 / 7,000 p.m.
Chauffeur facility	900 p.m.	3,000 p.m.
Employer's contribution to RPF	> 12% taxable	12% limit - removed
Deduction for entertainment allowance	Available	Not available
Retirement Benefits [Earlier: Exemption] [Now: Deduction]	Taxable sum in gross salary	Gross salary – Full then deduction u/s 19

Behind every successful business decision, there is always a **CMA**



Exemption from Allowances: Old Regime – New Regime

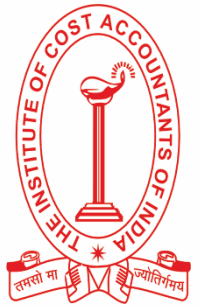


Particulars	Old Regime	New Regime
• Govt employee, being Indian citizen working outside India	✓	✓
• Children Education Allowance upto ₹ 3,000 p.m. per child for 2 child	✓	✗
• Children Hostel Allowance upto ₹ 9,000 p.m. per child for 2 child	✓	✗
• House Rent Allowance upto specified limit	✓	✗
• Truck Driver's Allowance max upto ₹ 25,000	✓	✗
• Transport Allowance upto specified limit	✓	✓
• Daily Allowance upto actual expenditure	✓	✓
• Conveyance Allowance upto actual expenditure	✓	✓
• Travel or Tour or Transfer Allowance upto actual expenditure	✓	✓
• All Other allowance specified in Rule 280 (upto specified ₹)	✓	✗
• Allowances to employee of UN	✓	✓

Behind every successful business decision, there is always a **CMA**



Other: Old Regime – New Regime

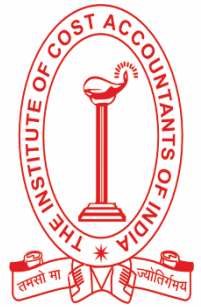


Particulars	Old Regime	New Regime
Perquisites - Exemption		
• Meal Voucher upto ₹ 200 per meal	✓	✗
• Govt employee, being Indian citizen working outside India	✓	✓
• Leave Travel Assistance for specified expenses	✓	✗
Deductions		
• Standard Deduction	₹ 50,000	₹ 75,000
• Professional Tax	✓	✗
• Retirement Benefits	✓	✓

Behind every successful business decision, there is always a **CMA**



Salary in ITR 1



B1. Income From Salary

* Indicates mandatory fields

[Expand All](#) [Collapse All](#)

i. Gross Salary (ia + ib + ic + id + ie)

₹ 0

a. Salary as per section 17(1)

₹

b. Value of perquisites as per section 17(2)

₹

c. Profit in lieu of salary as per section 17(3)

₹

d. Income from retirement benefit account maintained in a notified country u/s 89A

₹ 0

Do you want to add more breakup values ?

[+ Add Another](#)

e. Income from retirement benefit account maintained in a country other than notified country u/s 89A

₹

Employer wise salary are not required to be reported, respective details from all employer are required to be provided.

For furnishing details Salary certificate (Form 130 (Old 16)) will be helpful

As per Old law

Behind every successful business decision, there is always a **CMA**



Salary in ITR 1

ii. Less : Allowances to the extent exempt u/s 10(Ensure that it is included in salary income u/s 17(1)/17(2)/17(3))

₹ 0

Exempt Allowances

Do you want to add more breakup values ?

[+ Add Another](#)

iiia. Less: Income claimed for relief from taxation u/s 89A ⓘ

₹

iii. Net Salary (i – ii – iiia)

₹ 0

iv. Deductions u/s 16 (iva + ivb + ivc)

₹ 0

a. Standard Deduction u/s 16(ia)

₹ 0

b. Entertainment allowance u/s 16(ii)

₹ 0

c. Professional tax u/s 16(iii)

₹ 0

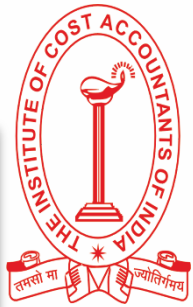
v. Income chargeable under the Head 'Salaries' (iii – iv)

₹ 0

Exempt allowance:
Required to report each and every exempt allowance by selecting it from drop down menu

Standard Deduction:
Figure will auto-populated

Entertainment Allowance & Professional tax deduction: The field will be enabled depending on your employment and regime opted by you



As per Old law

Behind every successful business decision, there is always a **CMA**

Schedule Salary in ITR 2 & 3

Schedule Salary

Details of Income from Salary

* Indicates mandatory fields

[Expand All](#) [Collapse All](#)

> 1. Gross Salary

2. Total gross salary (From all employers)

₹ 0

> 3. Less : Allowances to the extent exempt u/s 10 (Ensure that it is included in Total Gross salary in (2) above)

₹ 0

3a. Less : Income claimed for relief from taxation u/s 89A ⓘ

₹

0

4. Net Salary (2 - 3 - 3a)

₹ 0

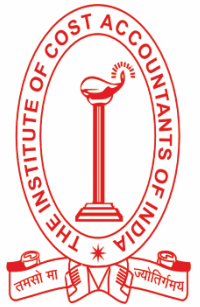
> 5. Deduction u/s 16

₹ 0

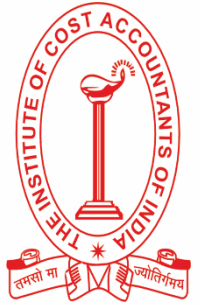
6. Income chargeable under the Head 'Salaries' (4 - 5)

₹ 0

- ☐ Name, Address and TAN are required to be provided for each employer
- ☐ Keep Salary certificate (Form 130) (old 16) handy to fill the details
- ☐ Employer wise and component wise details are required to be provided for following:
 - Salary
 - Value of Perquisite
 - Profit in lieu
 - Exempted Allowances



Salary Certificate [Form 130] [Old Form 16]



- ☐ Replaces the erstwhile Form 16.
- ☐ Acts as a mandatory TDS certificate for salary and specified senior citizen income.
- ☐ Divided into Part A (Demographics) and Part B (TDS Summary)
- ☐ Part C includes Annexure-I (Salary under Section 392) and Annexure-II (Pension/Interest u/s 393(1))
- ☐ Must be downloaded directly from the TRACES website by the employer and issued to the employee
- ☐ Offline or manually prepared certificates are legally invalid.
- ☐ Generation requires prior filing of the quarterly TDS statement in Form 138 by employer
- ☐ Form 130 is not required to be attached with the return of income but must be preserved for record purpose
- ☐ Due date for issuance is 15th June of the Financial Year immediately following the Tax Year

Behind every successful business decision, there is always a **CMA**

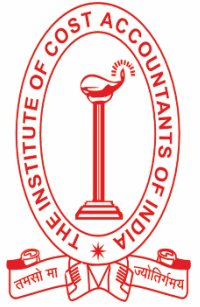


Salary Certificate [Form 130] [Old Form 16]

Form No. 130: Overview of Part C (Annexure-I)

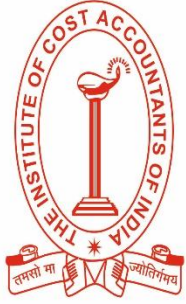
- ☐ Applicable exclusively to tax deducted from salary income.
- ☐ Governed by the provisions of Section 392 of the Income-tax Act, 2025.
- ☐ Issued specifically to salaried employees by their employers.
- ☐ Functions as the primary tax computation sheet for regular employment income.
- ☐ Provides the exact Break-up of Gross Salary.
- ☐ Lists all applicable Exemptions and Deductions claimed during the year.
- ☐ Calculates the Total Taxable Income and gross Tax Payable.
- ☐ Details any Relief under section 157, final TDS/TCS paid, and the Net Tax Payable.

Behind every successful business decision, there is always a **CMA**



- ❑ Deduction u/s 134 (old 80GG) can be claimed for concessional employer-provided accommodation, subject to prescribed conditions and limits
- ❑ Opting for perquisites over taxable allowances can reduce the valuation of rent-free accommodation, as “salary” for this purpose includes all taxable allowance
- ❑ A fixed medical allowance paid in cash is 100% taxable. Opt for medical treatment in a hospital maintained by the employer wherever possible. The value of this treatment is excluded from perquisites
- ❑ Structure your compensation to maximize employer contributions to a RPF, NPS and Approved Superannuation Fund. The aggregate contribution is exempt up to ₹7,50,000 annually
- ❑ Receiving salary in arrears or advance can push an employee into a higher tax bracket. Always compute and claim relief u/s 157 (old 89).
- ❑ Uncommuted pension is fully taxable as regular salary. Opt to commute a portion of your pension upon retirement. Commuted pension qualifies for a statutory deduction under Section 19 (Table Sl. No. 7 & 8), providing tax-free liquidity





ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

www.icmai.in



Thank You!

Behind every successful business decision, there is always a **CMA**

